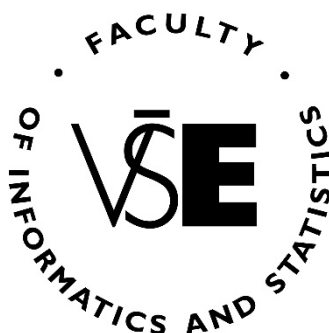


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Instagram social media as a Customer Relationship Management tool

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Abstract

This bachelor's thesis explores using Instagram for businesses as a supportive tool for customer relationship management. The main objective of the bachelor thesis is to find out if Instagram is a platform that can help companies to build and maintain relationships with their customers. The other aim is to describe the features of Instagram and how they can be used for Customer Relationship Management (CRM) purposes. The bachelor thesis is divided into two parts: theoretical and practical. The theoretical part defines CRM discusses CRM systems and compares social CRM to traditional CRM. This part also discusses the importance of customer engagement and loyalty in Social CRM. Besides that, it discusses different types of social media platforms and their benefits for businesses. The theoretical part is finished with an analysis of Instagram's functionality and business usage. The practical part is an analysis of a questionnaire survey that examines the impact of business activities on Instagram social media on customer behavior. Ultimately, the thesis provides insights into how businesses can effectively use Instagram as a platform for managing customer relations.

Keywords

CRM, Social CRM, social media, Instagram

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Introduction

In today's hyper-connected world, businesses face the daunting challenge of maintaining strong customer relationships while keeping pace with rapidly evolving technology. Customer Relationship Management (CRM) has emerged as a critical tool for businesses to manage and analyze their interactions with customers and prospects. With the rise of social media, companies have started to focus on Social CRM, which involves leveraging social media platforms to enhance customer engagement and loyalty. This bachelor's thesis explores the potential of Instagram social media as a supportive tool for Customer Relationship Management (CRM) purposes.

The main objective of this thesis is to determine whether Instagram is an effective platform for businesses to manage their customer relationships. Additionally, the thesis aims to provide a detailed analysis of Instagram's features and how they can be used for CRM purposes. A questionnaire survey will be used to examine the impact of business activities on Instagram social media on customer behavior.

The first part of the thesis will define Customer Relationship Management CRM and discuss CRM systems.

The second part of this thesis introduces the concept of Social CRM and explains the customer ecosystem. It also compares social CRM to traditional CRM and discusses the importance of customer engagement and loyalty in Social CRM.

The third part is dedicated to social media. It briefly explores the variety of platforms and different types of social media, then focuses on Instagram. This part shows the functionality of Instagram and its usage for businesses, highlighting the platform's potential for customer engagement and loyalty.

Finally, the practical part of the thesis is an analysis of a questionnaire survey that examines the impact of business activities on Instagram social media on customer behavior. The survey data is analyzed to determine the effectiveness of Instagram as a CRM tool for businesses and provides valuable insights for businesses enhancing customer engagement and loyalty.

1 Customer Relationship Management

In the 1950s, the corporate world was focused on products, and Customer Relationship Management (CRM) did not exist. Manufacturers controlled the market and dictated terms to customers with low expectations. Products were standardized and not customized for individuals. The retailers were the dominant force in the market and controlled the flow of information with the help of advertising agencies.

However, with the advent of technology in the late 1980s, the delivery of customized goods at lower prices became feasible. The Internet made it possible for customers to access vast amounts of information on products from other users, not just the manufacturers. As a result, customer demands changed, and retailers began to adapt to meet those needs. The rise of e-commerce and online review sites in the mid-1990s allowed for direct access to information from manufacturers and retailers, while also providing an independent voice for customers.

Over time, the physical and digital business worlds began to merge. Retailers began offering online ordering and in-store pickup, and customers could buy clothing online and return it to a brick-and-mortar store. Price and availability were no longer the differentiators for customers, but rather the experiences provided by businesses. *„This was a significant transition point in how companies treated customers. Because, as we will see, the business model began to shift for how customers interact with companies. But even with this transition, it was still an ecosystem governed by the company, no matter how customer friendly it was.”* (Greenberg P., 2010, p.15)

CRM was popularized in 1997, to manage customer relationships and retain them in a competitive market. CRM 1.0 promised operational efficiencies for customer-facing activities like marketing, sales, and customer service. (Greenberg P., 2010, p.15)

In the contemporary world, characterized by fierce competition and fluctuating economies, effectively managing customers for long-term profitability has become an increasingly urgent matter. Data has become abundant to the extent that companies are drowning, and the volume of data doubles every 18 months. Furthermore, emerging trends like the prevalence of social media and apps pose new challenges for companies in the realm of CRM. (Kumar V., 2006)

1.1 CRM Definition

There are numerous interpretations and explanations of CRM that are currently in use. Various entities such as consulting firms, IT vendors, and companies have formulated their own definitions and understandings which are constantly changing.

Gartner defines CRM as a *“business strategy that optimizes revenue and profitability while promoting customer satisfaction and loyalty. CRM technologies enable strategy, and*

identify and manage customer relationships, in person or virtually. CRM software provides functionality to companies in four segments: sales, marketing, customer service and digital commerce.” (Gartner, 2021)

„CRM is the strategic process of selecting customers that a firm can most profitably serve and shaping interactions between a company and these customers. The ultimate goal is to optimize the current and future value of customers for the company.” (Kumar V., 2006, p.5)

In October 2003 in CRM Magazine Paul Greenberg made his definition of CRM:” CRM is a philosophy and a business strategy supported by a system and a technology designed to improve human interactions in a business environment.” (Greenberg P., 2010, p.30)

The definitions mentioned above reflect the perspective of CRM experts, who acknowledge that CRM involves intricate coordination and interaction between a company and its customers, particularly in the domains of sales, marketing, and service, with the goal of enhancing the company's competitiveness. By utilizing information technology and analyzing customer needs, companies can refine their management approaches and provide customers with novel, tailored communication experiences. Good communication and customer relationships can improve a company's competitive advantage and result in better outcomes. In this way, companies must focus on CRM.

To manage their customer interactions and relationships more efficiently, resulting in improved customer satisfaction, loyalty, and ultimately, profitability, businesses use CRM systems. We will talk about them in the next chapter.

1.2 CRM Systems

„A CRM system essentially provides a central place where businesses can store customer and prospect data, track customer interactions, and share this information with colleagues.” (Salesforce, 2021)

CRM systems are classified into four main types: operational, analytical, collaborative, and strategic, with each system supporting a different business goal. Businesses can use a combination of these systems to achieve their goals, or they can develop a unique solution that combines components from all of them. (Salesforce, 2021)

The distinctive features of each of the four CRM systems are broken down in this chapter.

1.2.1 Operational

Operational CRM systems are primarily focused on automating and streamlining customer-facing activities such as sales, marketing, and customer service. These systems capture and store customer data, allowing representatives to access it easily and quickly. Operational CRM systems help companies improve the efficiency and effectiveness of their customer interactions, resulting in higher customer satisfaction levels. (Kumar V., 2006)

The key objective of operational CRM is to enhance customer acquisition and retention. These systems facilitate the generation of fresh leads, their cultivation, conversion into customers, and retention through continued marketing communication and exceptional customer service. (Kumar V., 2006)

1.2.2 Analytical

Analytical CRM systems are designed to help companies analyze customer data to gain insights into customer behavior and preferences. These systems collect and analyze customer data from various sources such as social media, email, and transactional data. The insights gained from analyzing this data can be used to develop targeted marketing campaigns, improve product development, and enhance customer experiences. (Kumar V., 2006)

1.2.3 Collaborative

Collaborative CRM systems are focused on enhancing communication and collaboration between a company and its customers. These systems allow customers to communicate with representatives across various channels, including email, phone, and social media. Collaborative CRM systems enable companies to provide personalized and consistent customer experiences across all channels, resulting in increased customer satisfaction. (Kumar V., 2006)

1.2.4 Strategic

Strategic CRM systems are designed to help companies develop long-term relationships with their customers. These systems focus on creating a customer-centric culture within an organization and aligning business objectives with customer needs. Strategic CRM systems integrate customer data and insights from various sources to develop a comprehensive understanding of customer behavior and preferences. The insights gained from strategic CRM systems can be used to develop targeted marketing campaigns, enhance customer experiences, and build brand loyalty. (Kumar V., 2006)

1.3 Importance of CRM

According to a report by Grand View Research, the global CRM market is expected to reach \$114.4 billion by 2027, growing at a compound annual growth rate (CAGR) of 14.2% from 2020 to 2027. (Grand View Research, 2020) This growth is being driven by the increasing demand for personalized customer experiences, the rise of social media as a customer interaction channel, and the growing importance of customer data in business decision-making.

One of the key benefits of a CRM system is that it enables businesses to deliver personalized experiences to their customers. By storing customer data in a central location, organizations can gain insights into customer behavior and preferences. This information can then be

used to tailor marketing campaigns, sales pitches, and customer service interactions to meet the needs and expectations of individual customers.

Another benefit of a CRM system is that it can help organizations improve their customer retention rates. By tracking customer interactions and analyzing customer data, businesses can identify at-risk customers and proactively address their concerns. This can lead to higher customer satisfaction rates, increased loyalty, and reduced customer churn.

CRM systems can also help organizations streamline their customer-facing processes, such as lead management, sales forecasting, and customer service. By automating these processes, businesses can save time and resources, while also improving the efficiency and effectiveness of their customer interactions.

In addition, a CRM system can help organizations improve internal communication and collaboration. By providing a single platform for customer data, CRM systems enable teams to share information and insights about customer behavior and preferences. This information can be used to improve product development, marketing strategies, and customer service initiatives. (Salesforce, 2021)

According to a report by Salesforce, a leading CRM software provider, businesses that use a CRM system can expect to see an average return on investment (ROI) of \$8.71 for every dollar spent. (Salesforce, 2020) This ROI is driven by the increased efficiency, effectiveness, and personalization of customer interactions that a CRM system enables.

In conclusion, a CRM system is an essential tool for any business that wants to improve its customer relationships. By enabling organizations to store and manage customer data, track customer interactions, and automate various customer-facing processes, a CRM system can help businesses deliver personalized experiences, improve customer retention rates, streamline customer-facing processes, and improve internal communication and collaboration. As customer-centricity continues to become a key driver of business success, the importance of a CRM system is only set to increase in the years ahead.

2 Social CRM

In modern reality, it was inadequate to grow businesses in the traditional sense. Incorporating the operational capabilities of historic CRM with the new social capabilities of social media and networks provides a set of powerful new approaches and tools to succeed more effectively than CRM traditionally ever did. (Greenberg P., 2010) The development of new technological advances and the unprecedented reach of social media gave rise to the new generation of CRM, social CRM.

In this chapter, we will have a closer look at the Social CRM (SCRM) and its aspects.

2.1 Customer Ecosystem and social customer

In today's digital age, social media has revolutionized the way customers interact with businesses. Social media has given customers a voice and a platform to share their experiences, opinions, and feedback about brands and products. This phenomenon has given rise to the concept of "social customers."

In the book, CRM at the Speed of Light, Paul Greenberg writes: *"We are now living in a customer ecosystem. The customer now is at the hub of the business ecosystem."* (Greenberg P., 2010, p.16) The consequences of this have far-reaching implicit and explicit impacts on the formulation of business strategies, process management, business model adoption, technology selection, and customer engagement." *This is the social customer that drives the customer ecosystem.*" (Greenberg P., 2010, p.18)

As was mentioned in CBS Marketwatch, June 2008:

„Now, customers dictate how they will purchase and consume—where, when, and how much—using a variety of channels largely, if not exclusively, configured by them: They are using community-based online tools (social networking, social book-marking, and social shopping) to guide one another, which has made dot-com darlings like Amazon.com look almost quaint compared with media-meets- commerce-meets-community start-ups like Glam.com.

They are populating social networks, composed of the people they trust, and their networks—their social ties—are rapidly becoming key distribution channels for retailers' marketing and promotion. They populate the online world with ratings and reviews, videos of what they've bought or consumed, and comments on corporate reputations and consumer brands, making Shopzilla or PriceGrabber more valuable than Consumer Reports or J.D. Power.

Social customers are customers who use social media to interact with brands and businesses. They use social media platforms to research products, ask questions, voice

concerns, and share their experiences with others. Social customers are not just passive consumers; they are active participants in the buying process.

Social customers tend to be influenced by the opinions of others when developing their own views. Additionally, due to their sociable nature, they take pleasure in the sense of community that comes from interacting with other individuals who share their interests, brands, or customers. Social consumers enjoy reading reviews and hearing other people's opinions both before and after a purchase. This is one of the most significant advantages of social customers, the ability to influence others. Social media, as a platform to share experiences with others has made word-of-mouth marketing more potent than ever. Positive reviews and recommendations from social customers can attract new customers and help businesses build brand loyalty.

“Competition is no longer driven by the purveyors of similar products and services, but also by the thousands of messages that each person gets each day via their chosen means of communication and knowledge access.” (Greenberg P., 2010, p.17)

Social customers are a valuable resource for businesses. They can provide valuable insights into what customers want and need from a brand or product. By listening to social customers, businesses can improve their products, services, and customer experiences. On the other hand, negative feedback from social customers can harm a brand's reputation. Negative comments and reviews can spread quickly on social media, and businesses must respond promptly and effectively to address customer concerns.

By embracing social customers and engaging with them, businesses can build strong relationships and create brand advocates. Social customers can also provide valuable feedback and insights, which businesses can use to enhance their products and services. Thus, social media is a powerful instrument to engage customers by enriching experience in terms of providing quality products, deals and user-generated content.

2.2 Social CRM vs traditional CRM

Regarding all the similarities, the fundamental idea that underlies Social CRM's success is very different from that of its predecessor. Traditional CRM is based on an internal operational approach to manage customer relationships effectively. Social CRM is based on a company's ability to meet the personal agendas of its customers while also achieving the goals of its own business plan. Instead of customer management, it aims at customer engagement.

“Social CRM is a philosophy and a business strategy, supported by a technology platform, business rules, processes, and social characteristics, designed to engage the customer in a collaborative conversation to provide mutually beneficial value in a trusted and transparent business environment. It's the company's response to the customer's ownership of the conversation.” (Greenberg P., 2010, p.34)

Traditional CRM involves one-way communication, where businesses use the system to connect internal departments and gather useful market information to reach or better engage their customers.

Social CRM aims to accomplish their own business objective while also addressing the needs or issues of the customer. Customers are not a passive source of sales, according to Social CRM, and even the relationship between the company and the customer should be little more than a conventional business relationship. Customers can take an active role in generating corporate value and participate in it.

The other difference between classic CRM and social CRM is the data they are using to differentiate customers. In classic CRM, it is mostly structured data that represent basic data about the customer. This means personal data, contact details, demographics, and transaction history data. This data is obtained from email or phone connections with the customer, from face-to-face meetings, etc. (Reuben Y., 2018)

Social CRM gathers and examines customer information from various social media platforms such as Facebook, Instagram, Twitter, and others. This data includes interests, status, pages followed, likes, reposts, comments made, and cookies. Simply said, social CRM collects are mostly unstructured data. They are later utilized to provide personalized content and services to each customer. (Reuben Y., 2018)

SCRM is perceived as a customer-centric approach to produce service and merchandise support, raising whole awareness, selling a product, and making a community. The communication with the client via SCRM is to support corporations to acknowledge customer requirements and deliver superior products and services. Principally, it integrates the principles of CRM using digital networks. Therefore, it does not replace old-style CRM, but it will be known as an improvement to the existing CRM practices.

Due to its wider reach and cutting-edge features, SCRM has grown more effective and significant than conventional CRM. SCRM has served as a point of contact for customers as well as a tool for developing and managing customer relationships. Through its various engagement campaigns, it has improved customer satisfaction levels to win their loyalty. (Aldaihani et al., 2020)

2.3 Customer Engagement (CE) and Loyalty

As was mentioned in the thesis above, “*Social CRM is ... designed to engage the customer in a collaborative conversation in order to provide mutually beneficial value in a trusted and transparent business environment.*” (Greenberg P., 2010, p.475) While “Consumer Engagement generally denotes how consumers are associated with products through online networks, such as the brand’s website, blogs, social media platforms, and videos”. (Arora et al., 2021) The question stands, how do you engage the customer in this conversation and what engagement means for the business?

Here will be discussed a few options, on how business can achieve customer engagement with SCRM.

Social listening

Monitoring and analyzing social media conversations about your company's name, goods, and services is known as social listening. With SCRM, you can set up alerts and notifications that keep tabs on social media mentions of your company or its products, enabling you to quickly respond to comments and questions from clients. In a Hootsuite study, it was discovered that 64% of consumers expect businesses to respond to social media messages within a day and 42% within an hour. (Hootsuite, 2021)

Prompt and effective response

In order to increase customer engagement, prompt and effective responses are essential. Customers will receive a prompt and accurate response to their inquiries if you use SCRM to set up automated responses to frequent customer questions. To handle more complicated questions and problems, a team of customer service representatives must also be on hand. According to a Zendesk study, 72% of consumers who were satisfied with a brand's customer service would recommend it to others. (Zendesk, 2021)

But even a negative and potentially harmful experience can be turned into a positive one and retain your customer base. Answering a customer complaint has also been shown to increase brand advocacy by up to 25%, writes Jay Baer in his book *Hug Your Haters*. (Baer J., 2016)

Personalized experiences

Personalization is key to achieving customer engagement with the use of SCRM, the challenges of how to identify who these clients are, and second, how to create an honest, authentic, and transparent relationship with not only these but all clients can be completed. As we already know, the Social CRM accumulates information about the clients/prospects in a social setting and assigns scores based on an algorithm defined by you. This in-turn triggers automatic actions. Armed with such intelligence, it becomes easy to address the above challenges. According to a study by Accenture, 91% of consumers are more likely to shop with brands that provide relevant offers and recommendations. In the years to come, only the businesses that are aware and acting on these solutions would thrive while the others would fight to survive. (108ideaspace, 2022)

Foster customer loyalty and advocacy

There are many other benefits to customer engagement that will position your brand for long-term success and improve your return on investment. Customer Engagement as a creative process can increase brand referral, sales, and loyalty, through offering a product, which is more closely related to the needs of customers (Thackeray et al., 2008). Factors such as loyalty, satisfaction, consumer empowerment, emotional bonding, trust, and commitment are 'key consumer engagement magnitudes' (Brodie et al., 2011). CE generally stimulates customer behavior as brand observations, brand outlooks and finally it creates an impact on brand loyalty (Sprott et al., 2009). Furthermore, an engaged customer is more

likely to develop a more progressive attitude toward the company's product and brand image, resulting in Customer loyalty for the product. (Vivek, 2012).

The benefits of customer engagement are significant. Organizations that engage customers successfully report lower customer attrition rates, higher wallet share, and overall better performance than their competitors. A study by Gallop discovered that when companies successfully engaged customers, they reported 63% lower customer attrition, 55% higher wallet share, and overall performed 23% better than their competitors. (GALLUP, INC., 2014)

Above all, they expect honesty and authenticity. According to the Sprout Social report from 2020, most social media users (65%) said that brand-audience engagement is key, followed by transparency (45%) and then strong customer service (44%). (Sprout Social, 2020)

Opportunity for sharing feedback

Roughly 93% of people read customer reviews before purchasing, and a massive 68% of users will often go straight to a business's social media profile to read reviews. Consumers are 50% more likely to be motivated by an online review than by a discount offer. (Bizrate Insights, 2021) This makes it essential to secure reviews from your customers, through incentives or emails requesting their feedback, and make them a prominent feature on your social media pages.

In conclusion, achieving customer engagement with SCRM necessitates a comprehensive strategy that prioritizes comprehending and fulfilling customers' needs and expectations. Companies can strengthen their relationships with their customers and increase sales and revenue by gathering and analyzing data from various touchpoints and channels, promptly and effectively responding to customer inquiries and feedback, developing personalized experiences, and encouraging customer loyalty and advocacy.

2.3 Importance of social media in CRM

Charlene Li described social computing as "a social arrangement where technology empowers communities rather than institutions." The technologies being discussed are social media and communities, as well as social media applications, which have begun to alter how companies view interacting with their customers. But it is only very recently that businesses are beginning to see the value of social media as a means of communicating with customers— and that is only because the customers expect that kind of communication.

2.3.1 Improved Customer Service

Social media offers a customer-centric approach in the service context which is helpful for businesses to examine online customer communications, recognize customer service problems and provide a platform for customer service participation. Customers are increasingly communicating with businesses primarily through social media. They expect

businesses to respond to their questions and grievances right away, and social media gives businesses a platform to do so. This shift in communication channels has prompted companies to adopt social media monitoring and management tools to track and address customer inquiries and grievances in real-time. By leveraging these tools, businesses can increase customer satisfaction and loyalty. According to a Sprout Social study, 83% of consumers who received a response to their social media question felt better about the brand (Sprout Social, 2020).

Companies can track and address customer inquiries and grievances in real-time using social media monitoring and management tools, increasing customer satisfaction and loyalty. 83% of consumers who got a response to their social media question felt better about the brand, according to a Sprout Social study. (Sprout Social, 2020)

2.3.2 Increased Brand Awareness

Companies can use social media to reach a larger audience and raise brand awareness. Companies can attract new customers and expand their reach by sharing engaging and relevant content on social media. Social media also allows businesses to showcase their brand values and personality, resulting in a more personal and relatable brand image. According to HubSpot research, social media has a 100% higher lead-to-close rate than outbound marketing. (HubSpot, 2021)

2.3.3 Customer Insights and Analytics

Companies can gain valuable insights into customer behavior, preferences, and feedback by using social media. Businesses may determine trends, pain points, and opportunities to improve the customer experience by monitoring social media conversations and analyzing customer data. Social media analytics also provides companies with data on customer demographics and interests, allowing them to tailor their marketing and communication strategies to specific audiences. Brandwatch found that 96% of marketers use social media for audience insights and targeting. (Brandwatch, 2022)

2.3.4 Competitive Advantage

Social media gives businesses a competitive advantage by allowing them to monitor and analyze their competitors' activities and strategies. Companies can identify their competitors' strengths and weaknesses by tracking their competitors' social media presence and using this information to improve their own social media strategies. Companies can also use social media to differentiate themselves from their competitors by showcasing their unique value proposition and brand personality. According to a McKinsey study, companies that incorporate social media into their CRM strategies experience a 10-15% increase in customer satisfaction. (Masri et al., 2015)

2.3.5 Sales and Revenue Growth

Companies can increase sales and revenue by promoting products and services on social media platforms. Companies can attract new customers and drive repeat business by creating engaging and informative social media content. Social media also allows businesses to upsell and cross-sell products and services to existing customers. According to a Social Media Examiner survey, 66% of marketers believe social media can help them generate leads. (Stelzner M., 2022)

2.3.6 Online Presence in Customer Decision-Making

According to studies, customers are typically halfway through their decision-making process by the time they begin communicating with a seller. This is because the customer researches the product beforehand and looks up information online on social media sites, business websites, and websites of competitors. (O. Hanuš, 2015) It is evident that, as a result, businesses need to be more strategic in their marketing efforts, ensuring that their online presence is strong and that they provide accurate and helpful information to potential customers. This can include maintaining a strong social media presence, creating informative and engaging content, and optimizing their websites for search engines.

2.3.7 Customer Service Support

We have already spoken about how influential customer feedback is in a business. Oracle study emphasizes the need for businesses to integrate social media into their SCRM strategies to meet customers' preferences and expectations. When submitting a service inquiry to a brand, 31 percent of consumers would prefer to comment on a brand's social media page and 24 percent would prefer to directly message a brand on social media. Gen Z is two times more likely than Boomers to want to receive customer service in this way. (Oracle and CRM Essentials, 2022)

2.3.8 Engagement for Better Customer Relationships

Businesses need to be able to listen, understand the content, and consider how to respond to what customers write. Knowing that 80 percent of consumers have purchased products in direct response to social media content (Oracle and CRM Essentials, 2022), companies can then multiply their marketing and offer a vice-channel approach to customers. It is also true that on social media, customers express their individual approaches and wish to be reciprocated. The more connected we are with our customers, the better the chances of establishing trust and sincere dialogue.

In fact, research evidence proposes that businesses, which can match their service strategies with social media service platforms can, ensure more profitability. A study by Bain & Company found that customers who engage with companies over social media spend 20% to 40% more money with those companies than other customers. (Barry et al., 2011)

In conclusion, businesses must prioritize the integration of social media into their customer relationship management (CRM) strategies. Social media serves as a valuable tool for engaging with customers and building long-term relationships, as evidenced by research studies. As part of their strategic decisions, organizations should focus on leveraging social media for customer engagement to gain a competitive advantage. By actively listening and responding to customers on social media, businesses can establish trust and build a strong brand reputation. Social media must be a central component of any modern CRM strategy to meet customers' preferences and expectations and ultimately drive profitability.

3 Social media

Aichner et al claim that the initial use of the phrase "social media" (SM) can be traced back to 1994 when it was employed in Matisse, an online media platform in Tokyo. It was in these early days of the commercial Internet that the first social media platforms were developed and launched. Over time, the number of social media platforms and active social media users has grown significantly over time, making it one of the most important Internet applications. (Aichner et al., 2021)

Right now, Cambridge Dictionary defines social media as websites and computer programs that allow people to communicate and share information on the Internet using a computer or mobile phone. (Cambridge Dictionary, 2023)

Six Degrees emerged in 1997 as the first identifiable social media website, allowing users to create profiles and connect with other users. The introduction of blogging sites in 1999 sparked a social media frenzy that continues to this very day. (Lile, S., 2023)

After the invention of blogging, social media began to explode in popularity. Sites like Myspace and LinkedIn gained prominence in the early 2000s, and sites like Photobucket and Flickr facilitated online photo sharing. YouTube came out in 2005, creating a different way for people to communicate and share across great distances. (Lile, S., 2023)

By 2006, Facebook and Twitter became available to users worldwide. These sites remain some of the most popular social networks on the Internet. Other sites like Tumblr, Spotify, Foursquare, and Pinterest began popping up to fill specific social networking niches. (Lile, S., 2023)

The term "Social Media" quite imperceptibly became a concept of the generation. It is used millions of times daily, generates nearly 1.5 billion searches on Google, and has completely changed how we sell products, communicate, and share experiences. (Jonathan O. and Wildman S., 2015)

Since 1997 social media has reached half the world's population, 7.7 billion people. Social media platforms have increased more than fivefold their total user base in the last 13 years, from 970 million in 2010 to 4.9 billion in 2023. (Dean B., 2021)

The latest statistics show that Facebook continues to keep its title of the king of social media, with 2.93 billion active users in 2022. The second place is held by YouTube, with 2.52 billion active users. The third- and fourth-most popular social media platforms are WhatsApp and Instagram, with two and 1.39 billion active users, respectively. (Bernhardt G., 2022)

Data from Datareportal.com show that about 76,9% of the Czech population will use social media in 2023. The most influential social networks in the Czech Republic are YouTube and Facebook. The number of Facebook users is expected to be around 4.9 million. (Kemp S., 2022)

3.1 Types of social media

The undeniable power and popularity of social media platforms have led businesses and marketers to explore ways to leverage them for achieving their business goals. In fact, nearly 100% of larger companies, both in the B2C and B2B sectors, are utilizing social media platforms to inform customers, gather information, receive feedback, provide after-sales service or consultancy, and promote their products or services (Aichner et al., 2021). This widespread adoption of social media by businesses has fundamentally transformed how they interact with their customers.

Gone are the days when companies played a passive role in their relationships with customers. With the presence of businesses and users on social media, customers now actively engage by giving feedback, asking questions, and expecting prompt and personalized solutions to their problems. Furthermore, customers themselves contribute content in the form of text, pictures, and videos. Recognizing this shift, managers have come to understand that transitioning their brand to social media entails redefining the customer relationship, where customers have become allies or potential adversaries rather than mere passive audiences (Aichner et al., 2021).

However, it is important to note that social media is not a one-size-fits-all solution. Social media platforms come in various forms that can fit a range of content types and purposes. While some overlap features, others are more specific in their offered services. However, as social media evolves, it can take time for brands to determine where to focus their attention. Understanding the different types of social media is crucial for effectively connecting with the right audience and tailoring strategies accordingly.

3.1.1 Social networking sites

Social networking websites have a primary objective of connecting family and friends, prioritizing person-to-person communications. Beyond facilitating conversations, these platforms also foster knowledge sharing. Users have access to diverse content types, such as text, photos, videos, and more.

These platforms empower users to generate compelling content, share it within their network, and form groups based on shared interests. Social networks revolve around users and cater to their needs, providing everything necessary to enhance their experience.

While there are numerous social networking websites available, Facebook and LinkedIn stand out as the most popular examples, commanding a significant user base and influence in the digital landscape.

3.1.2 Image-based Sites

Image-based sites have emerged as a prominent category within social media, enabling users to create and engage with visual content such as illustrations, photos, and infographics. Over the past few years, this type of content has gained significant popularity. Leading the way in this domain are media apps like Instagram, Pinterest, and Snapchat. Harnessing the power of visuals, these platforms offer a wealth of positive effects, as the saying goes, "a picture is worth a thousand words." (Kudumula D., 2022)

3.1.3 Video Sharing/streaming platforms

Videos have become the reigning content type in 2021, surpassing blogs and infographics, as highlighted by HubSpot. Among the platforms that have revolutionized the way people engage with video content, YouTube stands at the forefront. Boasting a staggering 2.5 billion active users, YouTube has not only become a go-to destination for video consumption but has also evolved into a search engine. (Kudumula D., 2022)

In 2022 Tik Tok platform became the fastest-growing one due to doubling its user base. The video platform launched in 2016 became a huge game changer among photo- and video-based social networks. TikTok is a social media app dedicated to short-form videos generated for and consumed by users. The length of videos is between 15-60 seconds. TikTok allows users to watch, create, and share short videos online. The format lends itself to entertainment and comedy. However, it is increasingly used for infotainment. So-called influencers who gain a steady audience on TikTok offer snippets of advice, tips, and self-promotion. (D'souza D., 2023)

People often search for all kinds of things and find video content that answers their questions. In 2022 statistics showed that 40% of Gen Z users, ages 18 to 24, prefer using TikTok and Instagram for search over Google. (Perez S., 2022 Interestingly, the allure of video content has led to a shift in user behavior, with 40% of Generation Z users, aged 18 to 24, preferring TikTok and Instagram as search platforms over Google. This statistic from 2022 demonstrates the growing trend of users seeking information and answers through video-based platforms, indicating the rising importance of these channels in fulfilling users' search needs. (Perez S., 2022)

3.1.4 Discussion Forums

Discussion forums play a crucial role in facilitating the exchange of knowledge and information among users. These platforms serve as valuable spaces where individuals can ask questions and receive answers from the community. Whether driven by shared interests or simple curiosity, forums like Quora and Reddit have emerged as prime examples of such platforms that foster meaningful discussions. Despite the anonymity that often characterizes interactions on these forums, their true value lies in the wealth of knowledge that is shared among users.

While participants may lack identifiability, the focus of these discussion forums is on the dissemination and sharing of valuable insights. Users turn to these platforms to seek answers, engage in discussions, and tap into the collective wisdom of the community. Quora and Reddit exemplify the essence of these knowledge-driven forums, where individuals come together to exchange ideas, share experiences, and contribute to a pool of valuable information.

3.1.5 Blogs and community platforms

While visual content such as pictures and videos may not always be the most suitable format for conveying certain topics, blogs offer an excellent alternative for sharing information with an audience. Blogs serve as a powerful medium for explaining complex subjects in a more comprehensive manner, allowing readers to gain a deeper understanding of the content at hand. In situations where a thorough explanation is necessary, blogs prove to be a valuable tool. (Adames I., 2022)

One of the key advantages of blogs is their ability to showcase the insights and expertise of thought leaders. They provide a platform for these individuals to delve into important information or news, offering detailed analysis and commentary. Platforms like Tumblr and Medium serve as conduits for creating communities centered around specific interests, enabling users to follow thought leaders and engage with their blog posts. This creates a space where individuals can come together, share knowledge, and gain valuable insights on specific topics from those they admire and respect. (Kudumula D., 2022)

3.2 Benefits of social media for Business

Social media has become an increasingly important tool for businesses to connect with customers, promote their products and services, and increase brand awareness. With billions of active users on social media platforms such as Facebook, Twitter, Instagram, LinkedIn, and many others, businesses have a vast audience to reach. Next, we will delve into the importance of social media in business usage, examining its benefits, challenges, and best practices. (McLachlan S. and Newberry C., 2021)

Given the information above, the importance of social media becomes undeniable. It is now an inseparable part of our everyday lives. More and more people start their day by checking social media. An average user spends 2.5 hours on social media daily to 2022 statistics. (How Much Time Do People Spend on Social Media in 2023?) What does it mean for the business? Especially when we remember that there are 4.9 billion active social network users.

Embracing social media opens opportunities for businesses to more time with customers in a comfortable and familiar environment. Missing out on this opportunity means losing the game with competition in getting a fast and effective way to reach more than half of the world's population.

Now, let's examine how social media can assist businesses in connecting with the target audience, fostering customer engagement, and influencing the decision-making process of potential prospects.

3.2.1 Increasing Awareness

Using social media for business is an excellent opportunity for both established and emerging industries. According to Instagram data, 83% of users discovered new products on the platform. (Meta, 2019) Considering that more than half of the world's population is social media users, it naturally becomes an excellent place to connect with the target audience.

To enhance your company's social media awareness, you must establish a strong social media presence. Establishing a consistent brand identity across all social media platforms, including your logo, color scheme, and messaging, is essential.

In addition to organic strategies, paid social media advertising can also be an effective tool for increasing brand awareness. You can ensure that your content reaches the right people and maximize your return on investment by targeting specific demographics and interests.

3.2.2 Personalize your Brand

Being an authentic brand builds trust. You can create genuine human connections between your customers and your brand on social media. While introducing people who make up your company to the customers and sharing the journey of the product being produced shows that your business is authentic and that there are people with a story behind it.

Furthermore, sharing customers' real stories and experiences from using the products adds credibility to your message. Additionally, showcase of negative experience and how the company solved the problem with the customer can also benefit the company. Such situations communicate to customers that they are essential to the business and that their word carries weight. (McLachlan S. and Newberry C., 2021)

Building brand trust has numerous benefits, including increased customer loyalty, receptiveness to your messaging, and influence over buying decisions. When customers trust your brand, they are more likely to become loyal advocates who support and promote your business. This advocacy becomes particularly valuable during challenging times, as loyal customers can help your business weather any storm and maintain its resilience. (Wall D., 2020)

3.2.3 Develop your Reputation as a Leader

People are looking to brands for insights and information and there's no better place to share that than social media. Regardless of the industry, social media can help establish a business as a reliable and authoritative source in its field. You can build a loyal following by sharing valuable content, engaging with your audience, and showcasing your expertise, which can lead to increased brand awareness and business growth.

To effectively leverage social media, it is also critical to maintain a consistent and authentic voice on social media. Your personal brand and business values should be reflected in your tone, and your messaging should be consistent across all platforms. By strategically utilizing social media platforms, you can position yourself as a thought leader and influencer in your industry, which can lead to new business opportunities and partnerships.

3.2.4 Increase traffic to other sources

Social media posts allow integrating links to external sources. For business, it means another channel helping increase the traffic to a business web page. Sharing great content from your blog or website to your social channels is a great way to get readers as soon as you publish a new post. Additionally, utilizing UTM tracking tags allows businesses to gather data on click-throughs, providing valuable insights into audience engagement. It's also important to include the website address in all social media profiles, making it easy for interested individuals to learn more with just one click. (McLachlan S. and Newberry C., 2021)

Another effective strategy is to collaborate with other businesses or influencers in the same industry. By partnering up, businesses can create or promote each other's content, reaching a larger audience on social media. This collaborative approach expands the reach and exposure of both parties involved, leading to increased visibility and engagement.

3.2.5 Leads Generating

Generating leads on social media involves identifying and engaging with potential customers through targeted marketing campaigns. Social media platforms provide businesses with opportunities to reach a broad audience and connect with them on a more personal level. Through a combination of organic and paid methods, businesses can create content, interact with users, and run ads to capture the attention of potential leads.

Social media advertising can also be an effective lead-generation tool. Platforms such as Facebook and LinkedIn allow you to target specific demographics and interests, ensuring that your content reaches the right people. You can attract leads who are actively looking for a solution by creating targeted ads that offer a solution to a problem.

To succeed in lead generation on social media, businesses must have a deep understanding of their target audience. This understanding enables them to create engaging and shareable content that resonates with their prospects. By leveraging the power of social media, businesses can build relationships with potential customers, increase their brand visibility, and ultimately drive sales and revenue. (Upsales today, 2022)

3.2.6 Boost sales

Social media platforms offer businesses numerous ways to boost sales. To be successful in this endeavor, it is important to understand how the target audience uses social media and what types of content are most effective.

Effective social media strategies for boosting sales include creating engaging content that resonates with the target audience, running targeted ads, and leveraging influencers and user-generated content. Social media also provides businesses with an opportunity to build relationships with customers and create a sense of community around their brand. By engaging with customers and providing excellent customer service on social media, businesses can increase customer loyalty and drive sales. Finally, by tracking and analyzing social media metrics, businesses can gain valuable insights into the success of their social media strategies and continually improve and refine their approach to boost sales.

In conclusion, social media has become an important part of businesses' marketing strategies because it allows them to reach a large audience. Businesses can connect with their target audience, promote their products and services, and raise brand awareness by leveraging the billions of active users on various social media platforms. Businesses can use social media to personalize their brand, build their reputation as a leader, increase website traffic, generate leads, and build brand trust, loyalty, and advocacy. Building a consistent and authentic voice on social media is critical for positioning the brand as an industry thought leader and influencer. As a result, social media is a necessary tool for businesses to use in order to stay ahead of the competition and reach more than half of the world's population.

4 Instagram

Instagram is a social media platform that has rapidly become one of the most popular and influential online platforms in recent years. The history of Instagram is a story of innovation, growth, and the power of social media.

Instagram was founded in 2010 by Kevin Systrom and Mike Krieger, two entrepreneurs with a passion for photography and a vision for a new kind of social media platform. The initial idea behind Instagram was to create a simple and intuitive photo-sharing app that would allow users to capture and share their daily lives with friends and family. In October 2010, Instagram launched on the Apple App Store and quickly gained popularity, attracting millions of users within a few months. (Murariu S., 2023)

Over the next several years, Instagram continued to grow and evolve, adding new features and capabilities to meet the changing needs of its users. In 2012, Instagram introduced filters, allowing users to enhance and customize their photos with creative effects. That same year, the company was acquired by Facebook, now Meta, for \$1 billion, which gave it access to Facebook's vast resources and expertise in social media. (Murariu S., 2023)

In the years that followed, Instagram continued to grow and expand, becoming one of the world's most popular social media platforms. In 2016, Instagram introduced its Stories feature, which allowed users to share short-form videos and photos that disappear after 24 hours. This feature quickly became one of the most popular features on the platform and helped Instagram attract even more users and engagement.

In recent years, Instagram has become an increasingly important tool for businesses and marketers as they look to reach and engage with their customers through social media. The platform has introduced a range of features and tools specifically designed for businesses, including Instagram Ads, which allow companies to reach a wider audience with targeted ads, and the Instagram Shop, which enables businesses to sell their products directly through the platform.

From its humble beginnings as a simple photo-sharing app, Instagram has evolved into one of the world's most popular and influential social media platforms, with millions of users and billions of daily interactions. Today, Instagram plays a critical role in social media and provides businesses and marketers with a powerful tool for reaching and engaging with their customers.

4.1 Functionality

Instagram is a social media platform that has gained immense popularity since its launch in 2010. It is a photo and video-sharing app that allows users to create and share content with their followers. Over the years, Instagram has introduced numerous features and functionality that have made it a versatile platform for users and businesses alike.

One of the most notable features of Instagram is its photo and video editing tools. The app includes a wide range of filters, editing tools, and creative elements that enable users to enhance their content and make it more engaging. Instagram also allows users to add text, stickers, and other elements to their posts, making it easy to create visually appealing content.

Another popular feature of Instagram is its Stories functionality. Instagram Stories enables users to share short-form video content that disappears after 24 hours. The feature has become a popular tool for brands and influencers to share behind-the-scenes content, product previews, and other exclusive content with their followers. Instagram Stories also includes a range of creative tools, such as stickers and music, that enable users to create engaging and shareable content.

One of the latest updates, Reels is a video content feature on Instagram that allows users to create and share short-form videos of up to 60 seconds. Reels videos can include a range of creative tools, such as music, text, stickers, and effects, to enhance the video content. Reels videos can be shared to a user's feed or to the Explore page, where they can be discovered by a wider audience. Reels has become a popular tool for brands and influencers to create engaging and shareable content and has become a key component of many social media marketing strategies. Reels videos can also be used to showcase products, provide behind-the-scenes content, and offer unique perspectives on trending topics and challenges.

Instagram's Explore page is another notable feature that helps users discover new content based on their interests and behavior on the platform. The Explore page uses machine learning algorithms to curate personalized content, including photos, videos, and IGTV content. The feature also enables users to search for specific content and discover trending topics and hashtags.

Instagram Direct is a messaging feature that enables users to send private messages to other users or groups. In addition to sending text messages, users can also send photos, videos, and voice messages. Instagram Direct also includes a range of features, such as the ability to react to messages with emojis, share posts, and create group chats.

Instagram's shopping functionality is a recent addition to the platform that has become a powerful tool for businesses. By tagging products in their posts, businesses can enable users to view and purchase products directly within the app. Instagram also includes a range of features, such as product stickers and the ability to create a shopping tab on business profiles, that help businesses promote their products and drive sales.

Finally, Instagram's algorithm is a complex system that determines which content appears on a user's feed, Explore page, and other areas of the app. The algorithm considers a range of factors, such as a user's behavior on the platform, their interests, and the relevance of content to their interests. The algorithm is designed to ensure that users see the most engaging and relevant content on the app.

To conclude, Instagram's capability has made it a versatile platform for users and businesses alike. From photo and video editing tools to shopping functionality and personalized content curation, Instagram has become an essential tool for social media marketing and content creation. With its continued growth and innovation, Instagram is poised to remain a leader in the social media space for years to come.

4.2 Business usage

With over one billion active users, Instagram has created numerous features enabling businesses to connect with their followers and effectively promote their products and services. In this chapter, we will explore the various Instagram functionalities businesses can use to increase their online presence and drive revenue.

One of the most popular Instagram functionalities for businesses is the ability to create a business profile. A business profile gives users access to various analytics and insights, including reach, impressions, and engagement rates. Additionally, a business profile enables users to add a call-to-action button to their profile, such as "shop now" or "book now," which can drive traffic to a business's website or landing page.

Another crucial Instagram functionality for businesses is the ability to create and publish sponsored content. Sponsored content effectively allows businesses to reach a larger audience and drive more traffic to their website or landing page. Sponsored content can appear in a user's feed, in Instagram Stories, or as an IGTV video. Businesses can target their sponsored content to specific audiences based on interests, demographics, and behaviors.

Instagram's Stories feature is another popular function for businesses. Instagram claims that over 500 million people use Instagram Stories every day. Stories enable businesses to create short-form video content that appears at the top of a user's feed for 24 hours. Stories can be used to showcase products, provide behind-the-scenes content, and offer exclusive promotions to followers. Additionally, businesses can use Instagram's Story Highlights feature to keep their most essential and engaging Stories visible on their profile for more extended periods.

Instagram, like any other social media platform, relies heavily on engagement. Businesses can use Instagram to interact with their customers in various ways. They can respond to comments on their posts, like or comment on posts from their audience, and share user-generated content. User-generated content can help businesses foster a sense of community among their followers and foster brand loyalty. According to a Stackla study, user-generated content converts at a 4.5% higher rate than brand-generated content. (Stackla, 2018)

Instagram's e-commerce integration enables businesses to sell their products directly through the platform. Businesses can create a shopping post with product tags, allowing users to click on the product and purchase it without leaving the app. According to Instagram, 130 million people tap on shopping posts every month. This feature has enabled

companies to make it simpler to drive sales through Instagram and increase their return on investment (ROI) (Wise J., 2023)

Another opportunity for businesses to promote their products is Influencer marketing. Instagram is the go-to platform for influencer marketing, which has become a popular trend in recent years. Businesses can work with Instagram influencers with a large following to promote their products or services to their audience. Influencers can assist companies in reaching a larger audience while increasing their credibility and trust among their followers. According to a survey by Influencer.co, Instagram is the most effective platform for influencer marketing, with an average ROI of \$6.50 for every dollar spent. (Geyser W., 2021)

Finally, Instagram's algorithm is an essential aspect for businesses to understand. The algorithm considers a range of factors, such as a user's behavior on the platform, their interests, and the relevance of content to their interests. By understanding the algorithm, businesses can create engaging and relevant content that appears on their followers' feeds and increases their reach and engagement rates.

In conclusion, Instagram's functionalities provide businesses with a wide range of tools to reach their target audience, promote their products and services, and increase their online presence. By creating a business profile, publishing sponsored content, using Instagram Stories, utilizing shopping functionality, and understanding the algorithm, businesses can leverage the platform's capabilities to achieve their marketing and sales objectives. Instagram's continued growth and innovation ensure that it will remain a powerful tool for businesses in the future.

5 Questionnaire survey

5.1 Research Objective

The aim of the survey is to answer if and how Instagram can help businesses build and maintain customer relationships. The survey was conducted among Instagram users. It consisted of questions about Instagram usage, perceptions of business activities on Instagram, and the most effective CRM strategies on the platform. The results of this study will provide valuable insights for businesses and brands looking to optimize their Instagram presence for effective CRM. The aim will be fulfilled by setting hypotheses, evaluating them, and presenting the questionnaire survey results.

5.2 Research Methodology

The method of questionnaire survey was chosen to fulfill the aim of the research. It was conducted from 10 April 2022 to 30 April 2023 through online questioning. Google Forms platform was used for conducting the survey. A total of 122 respondents took part in the survey. The distribution of the questionnaire was done through Instagram social media; thus, the respondents fulfilled the condition of being an Instagram user. The questionnaire contained a total of 35 questions, which can be divided into 6 thematic sections. The first section, which includes questions 1 to 2, deals with the distribution of respondents according to gender and age. The second section, which includes questions 3 to 9 explores Instagram usage and users' preferences, including the length of usage, frequency of use, and interests on Instagram. The third section, which includes questions 10 to 15 is related to purchasing behavior on Instagram, such as the influence of Instagram on purchasing decisions, factors influencing purchasing decisions, and products/brands of interest. The fourth section includes questions 16 to 18 and focuses on engagement and perception of Instagram content, including desired emotions when viewing posts from brands, ranking of engagement preferences, and elements of good Instagram content. Section five contains questions 19 to 29 and 33 to 35 and pertains to customer relationship management on Instagram, such as discovering new businesses/brands, reaching out to businesses through Instagram direct messaging, and opinions on businesses using Instagram as a CRM tool. The sixth section covers Instagram posting frequency and content quality, including desired posting frequency, content quality, and types of content likely to catch attention on Instagram, and contains questions 30 to 32. The complete questionnaire as distributed can be found in the appendix of the paper.

5.3 Respondents' Characteristics

According to the demographic distribution, among the 122 participants, 78 were women (64%), 34 were men (28%), four were non-binary, and six people decided not to mention their gender. All the participants in the questionnaire study were over the age of 18.

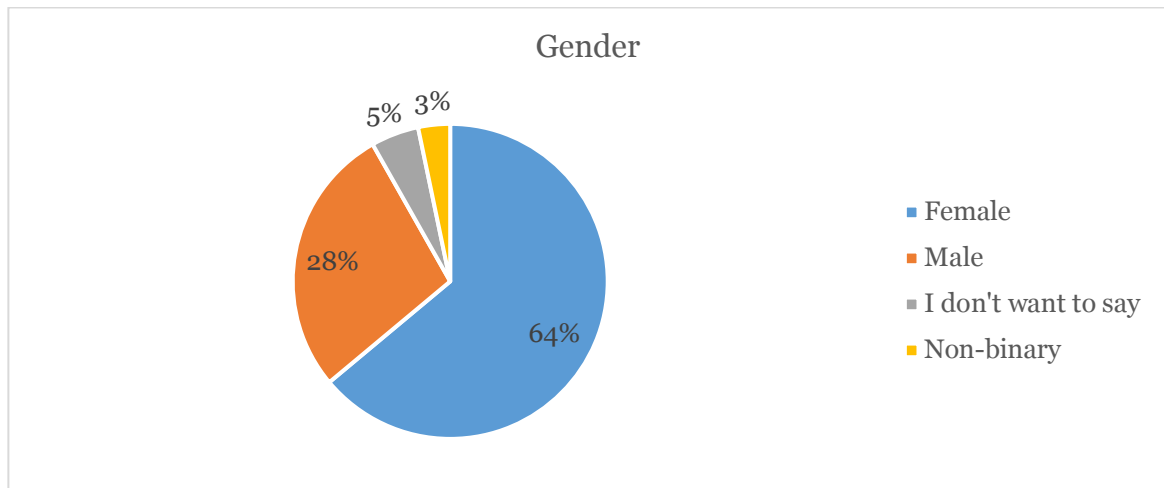


Figure 1 – Pie chart showing gender distribution of respondents (own elaboration based on questionnaire survey)

The pie chart below shows that the most significant number of respondents belong to the 18-24 age group. This group comprises 59% of all respondents, which is 72 respondents. The second largest was the age group from 25 to 34. It takes 33,6 % of the questionnaire participants or 41 respondents. Age groups above 35 were the least filled. In total, only nine people among the participants were representative of this age group. Similar results were shown in the Statista research of the year 2023, where most worldwide Instagram users concentrated among people from 18 to 34. (statista.com, 2023)

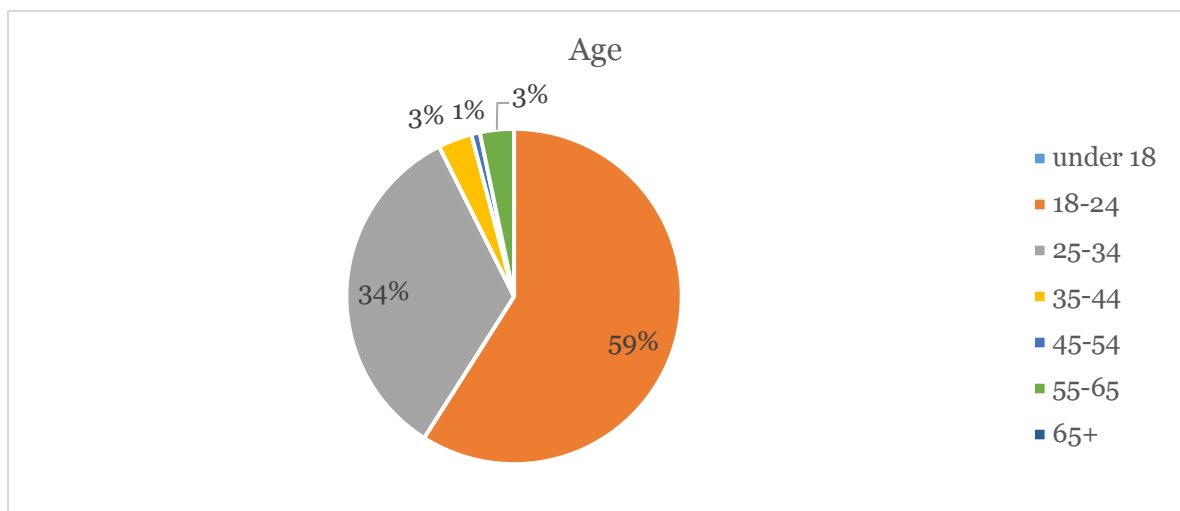


Figure 2 - Pie chart showing the age distribution of respondents (own elaboration based on questionnaire survey)

5.4 Research Results

5.4.1 Instagram Usage and Users' Preferences

The survey result shows that the majority of the participants (89%), have been using Instagram for four years or more. Only a small percentage of respondents (6%) have been using it for less than four years but more than three years. Additionally, 5% reported that they have been using Instagram for less than three years. This indicates that a vast majority of the participants are experienced users of the platform.

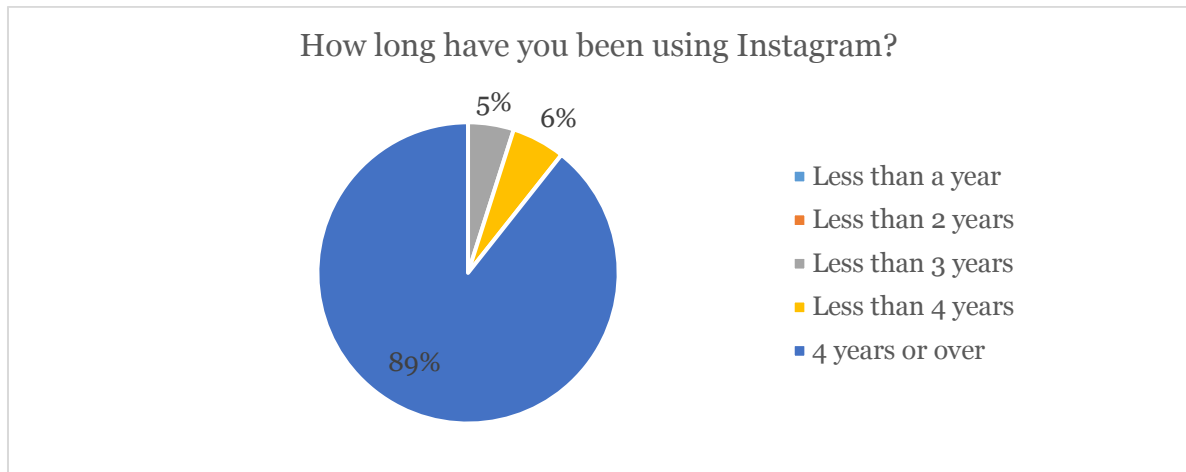


Figure 3 - Pie chart representing the duration of time respondents have been using Instagram (own elaboration based on questionnaire survey)

Response to the question of Instagram usage frequency showed that 110 out of 122 participants reported using Instagram daily, which accounts for 90% of the total respondents. Only a mere 10% of the participants reported using Instagram on a weekly basis. No one reported using Instagram every other day. These findings suggest that Instagram is a highly frequented social media platform among the surveyed population, with the majority using it daily.

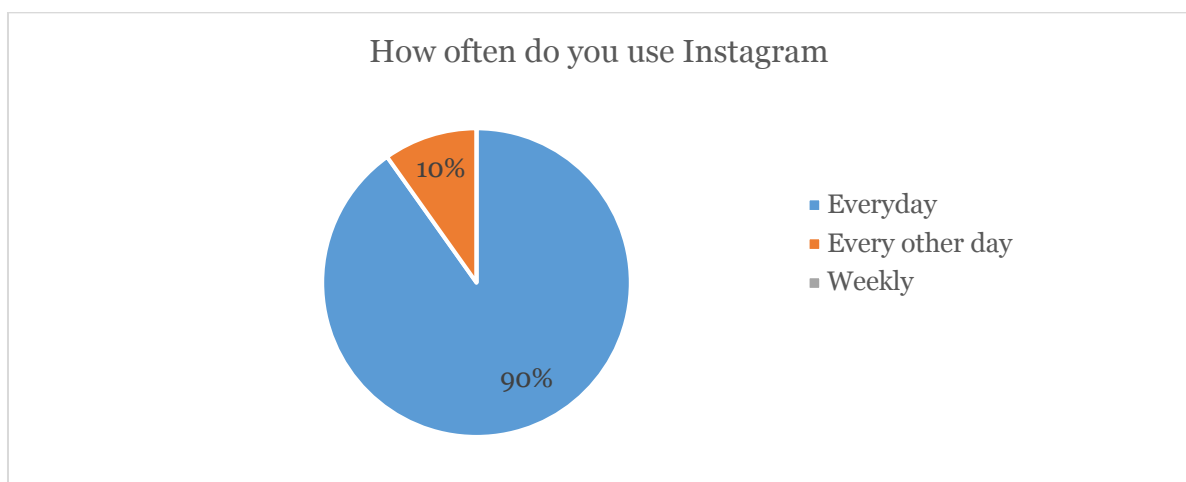


Figure 4 - Pie chart representing respondents' frequency of using Instagram (own elaboration based on questionnaire survey)

The survey results indicate that for most users, Instagram is a platform for absorbing lifestyle and entertaining content. These responses received 73% and 75% of the votes respectively. The third most popular response to the question about interests on Instagram was travel (61%). Fashion and food got the same number of preferences (59%). Important to note that participants could choose a few options to answer the question. With that in mind, the news option was the least popular and only got picked by 24% of respondents.

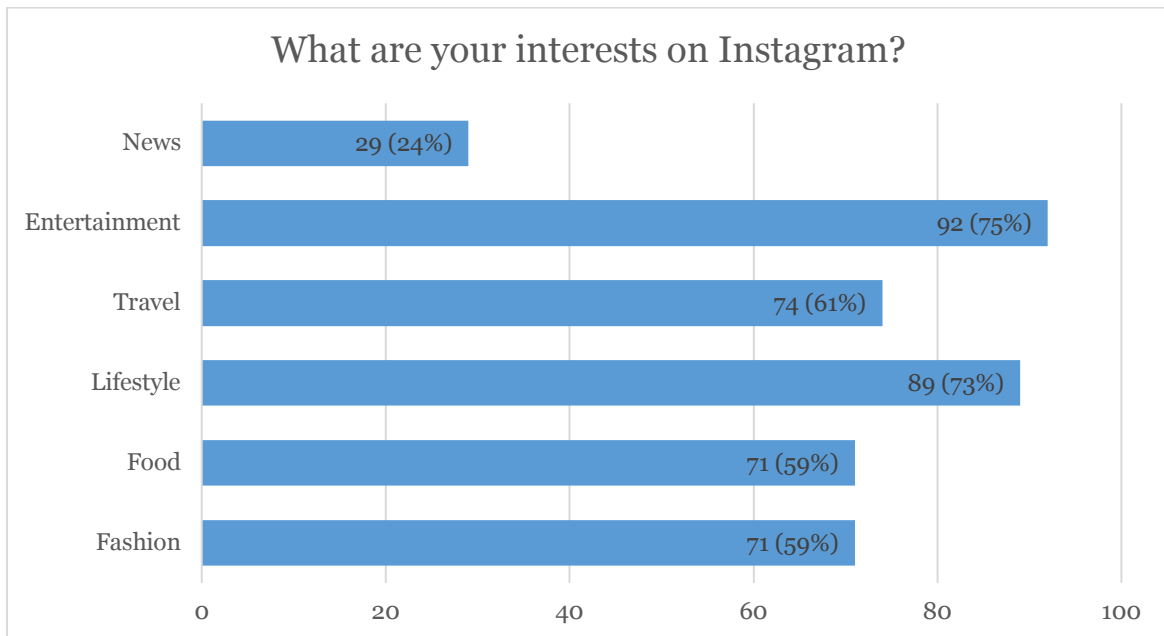


Figure 5 – Bar chart representing respondent's interests on Instagram (own elaboration based on questionnaire survey)

The question, "Do you follow any brand on Instagram?", was one of few, where respondents agreed completely. Meaning, that all the participants follow at least one brand on Instagram, indicating the platform's significant potential as a marketing tool for businesses.

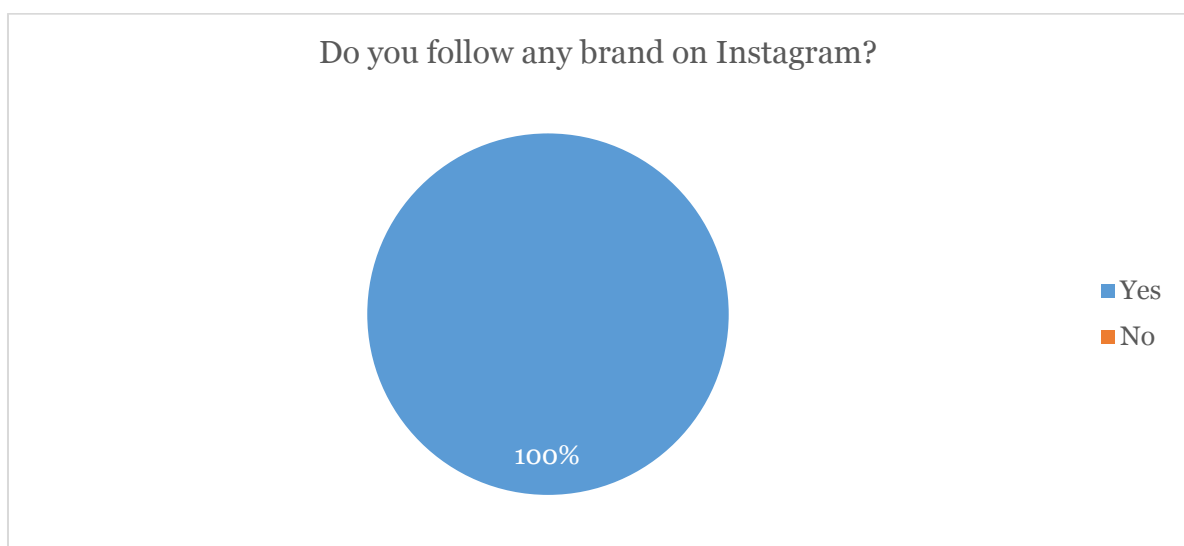


Figure 6 - Pie chart representing if respondents follow any brand on Instagram (own elaboration based on questionnaire survey)

In order to better understand why participants, choose to follow certain brands on Instagram and what influences them, questions 7 to 9 were asked with the condition that participants had to answer positively to the previous question and follow at least one brand on Instagram.

The question "If yes, think of your favorite brands on Instagram. Why do you follow these brands on Instagram?" was then presented, with multiple choice as an option. The most popular answer was promotions and sales, with 105 responders selecting it, making it the reason for 86% of participants following brands on Instagram. Personal relevance was the second most popular response, with 77% of responders admitting it as the reason for following the brand. Discovering new products was a reason for 57% of the respondents to follow the brand, while motivation and inspiration received similar support (57%). Loyalty was only selected by 12% of responders as a reason for following a brand's content. Participants also provided other reasons, such as getting information about opening hours. This suggests that Instagram can be considered a CRM instrument due to its ability to inform and engage with consumers. (Here similar suggested answers were grouped into "information about opening hours." for better representation purposes.)

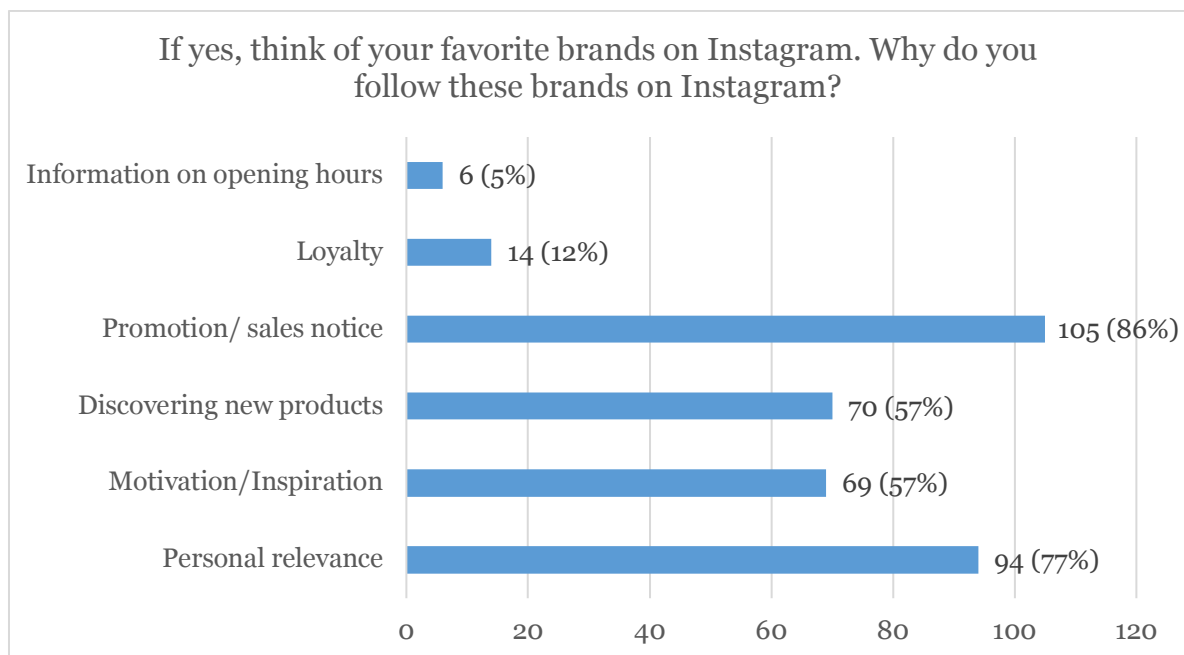


Figure 7 - Bar chart representing reasons why respondents follow brands on Instagram (own elaboration based on questionnaire survey)

Regarding the engagement with the brands the respondents follow, the questionnaire results show, that engagement is an essential part of the brand–follower relationship. 73% of the respondents claim they interact with the brand's social content multiple times per week. 27% of the respondents like, comment, or share the brand's content a few times monthly.

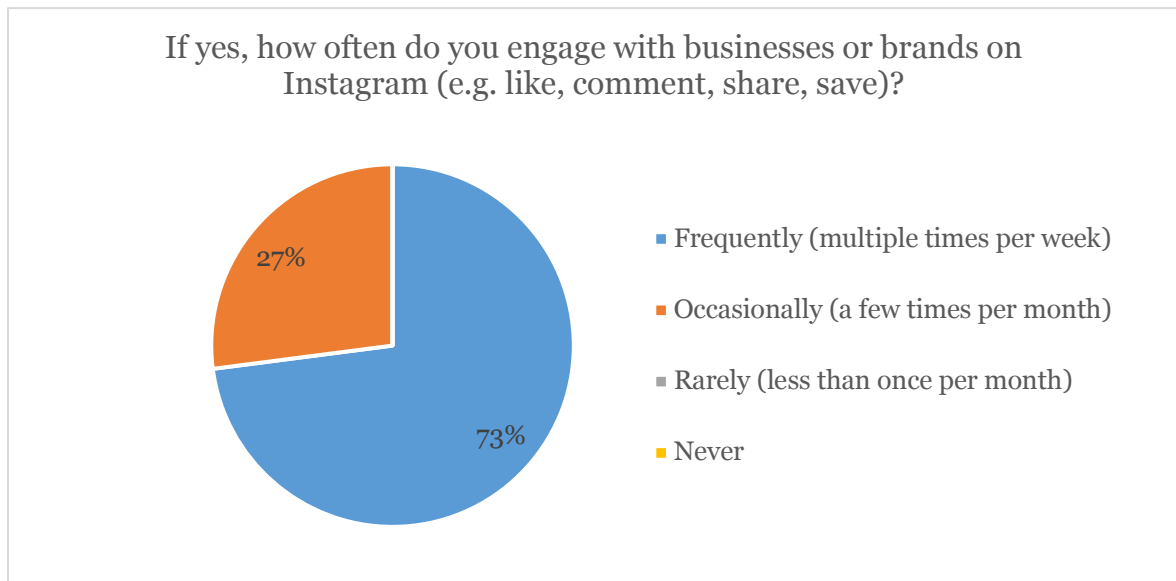


Figure 8 - Pie chart representing respondents' engagement frequency with brand's content on Instagram (own elaboration based on questionnaire survey)

The most popular reason why to interact with brands, according to the questionnaire results, is appealing content, with an overwhelming majority of respondents (88%), choosing this option. This was followed by positive reviews/comments, with 48% of participants selecting this option. Influencer promotion was also a factor for some participants, with 27% indicating that it was a reason for following brands on Instagram or engaging with them.

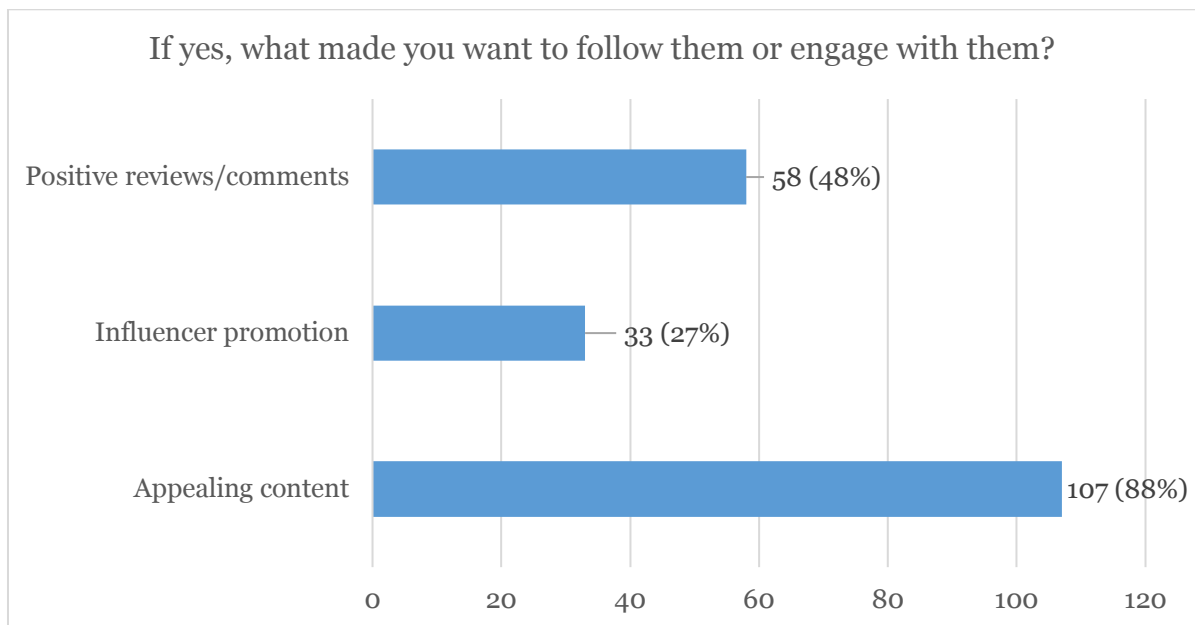


Figure 9 - Bar chart representing reasons why respondents engage with brands on Instagram (own elaboration based on questionnaire survey)

5.4.2 Purchasing Behavior on Instagram

Out of the 122 participants in the survey, 86% responded positively to the question of whether they have ever bought any product or service from or because of Instagram, while the remaining 14% answered negatively. This indicates that a significant portion of Instagram users have made purchases based on the platform.

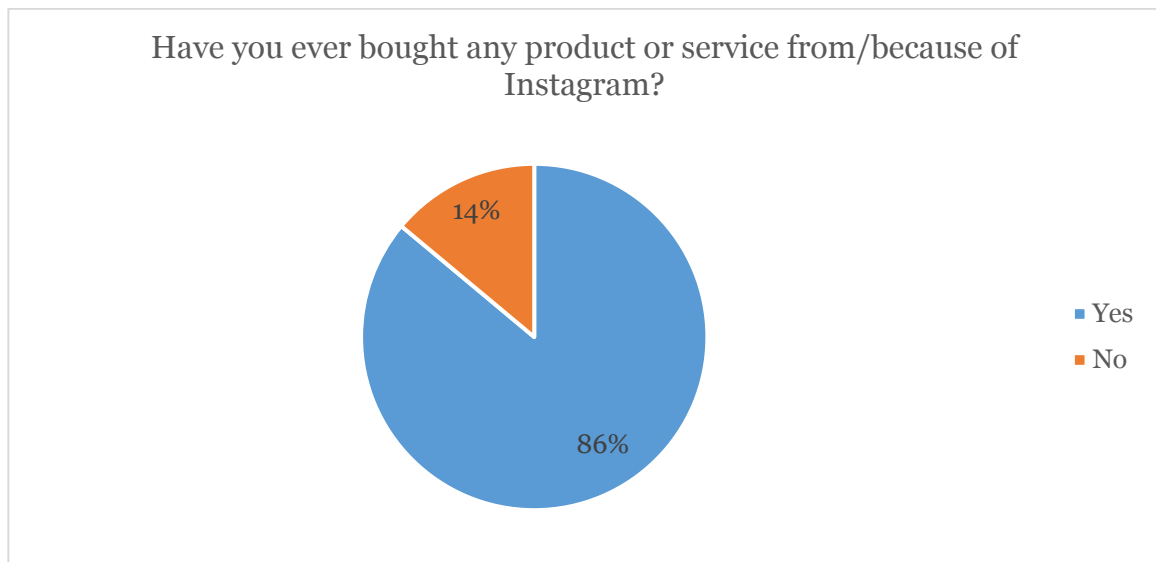


Figure 10 - Pie chart representing respondents' purchasing behavior (own elaboration based on questionnaire survey)

According to the survey results, for most respondents (57%) it took a few weeks to decide to make a purchase and convert from a prospect to a client, while 32% of respondents reported taking several months to consider before making a purchase and becoming a client. For 7% this process was shorter than two weeks, while 4% were making decisions for over a year.

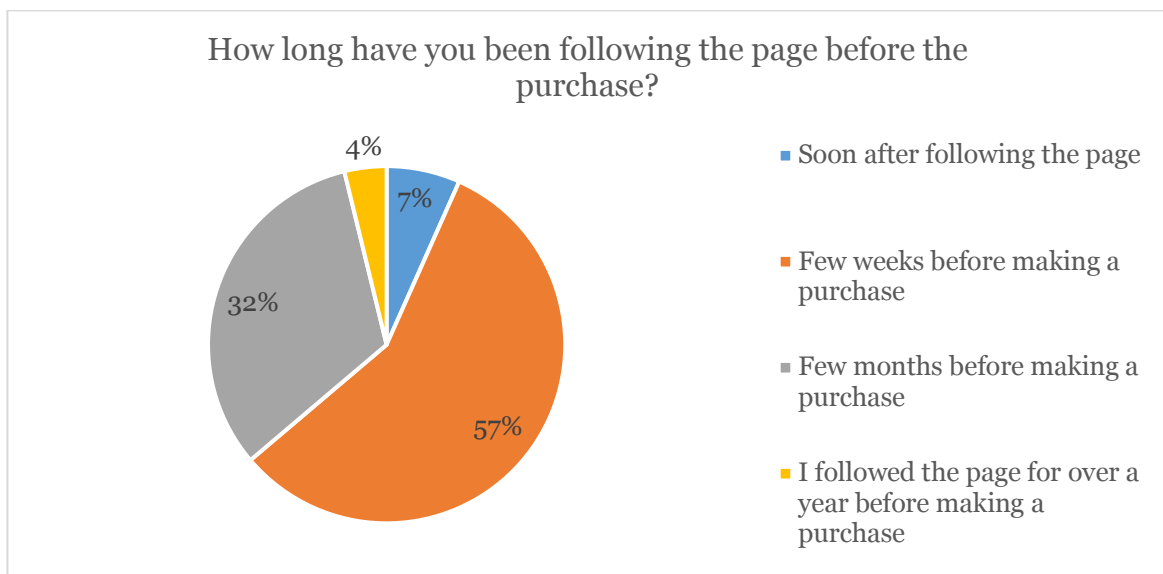


Figure 11 - Pie chart representing time respondents needed before making a purchase (own elaboration based on questionnaire survey)

To understand what influenced the purchase, questionnaire participants were asked: “How did your Instagram activity influence your decision to make the purchase?”. With 61% frequency, respondents answered that they saw a product or service on Instagram which persuade them to purchase. The second most-often influential cause was seeing an influencer using or recommending the product on Instagram (56%). With a bit less frequency, respondents mentioned reading positive comments and reviews influenced them to buy a brand’s product or service (33%).

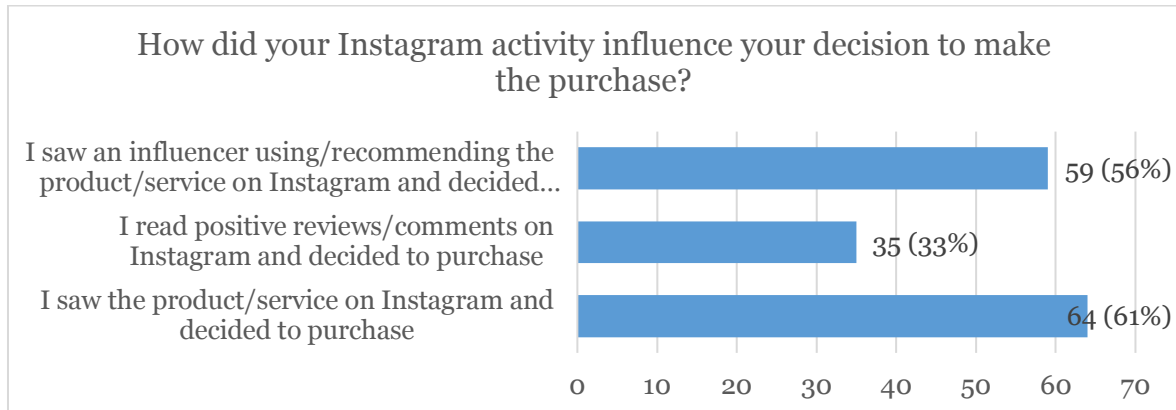


Figure 12 - Bar chart representing influence on respondents' purchasing behavior (own elaboration based on questionnaire survey)

Among the factors that convinced them to purchase, 98% of respondents selected the quality of the information provided about the product. Reviews from other customers tend to have a similar influence, being chosen by 88% of respondents. Social trends had a dramatically more substantial impact on purchase decisions than factors like the number of followers, page engagement, reviews from family or friends, Instagram promotions, or influencers. 71% of questionnaire respondents picked trends as a factor influencing purchasing decisions.

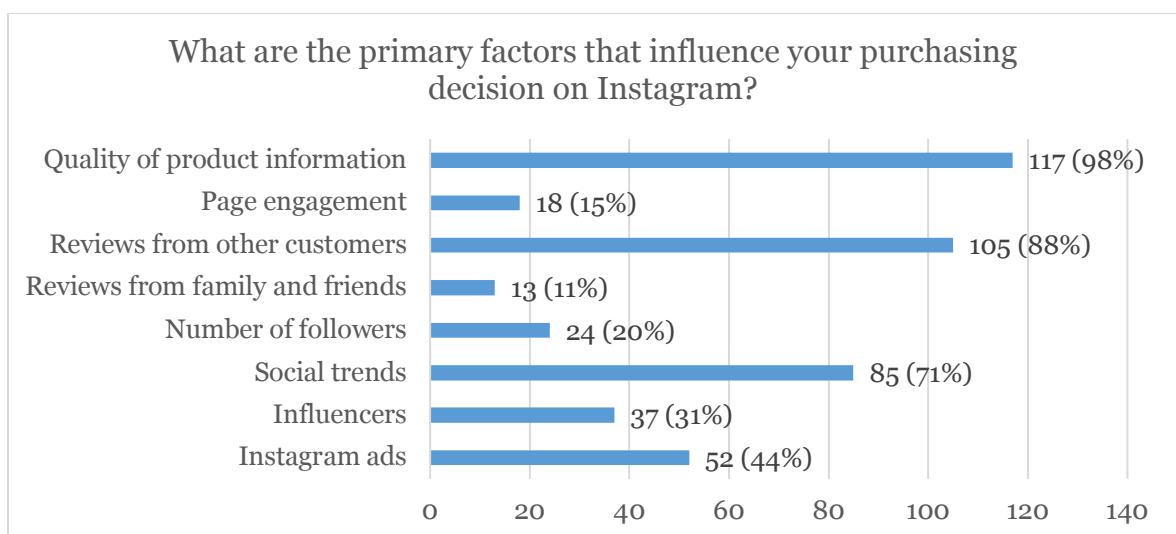


Figure 13 - Bar chart representing primary factors influencing respondents' purchasing decision on Instagram (own elaboration based on questionnaire survey)

The aim of the question "What kind of emotions do you want to feel when looking at a post from a brand on Instagram?" was to determine the emotional impact that participants seek from brand posts on Instagram. The results show that most respondents, 75% and 74%, want to feel respectively inspired and curious when viewing brand posts. Additionally, 34% of respondents desire happiness and 29% seek motivation from brand posts.

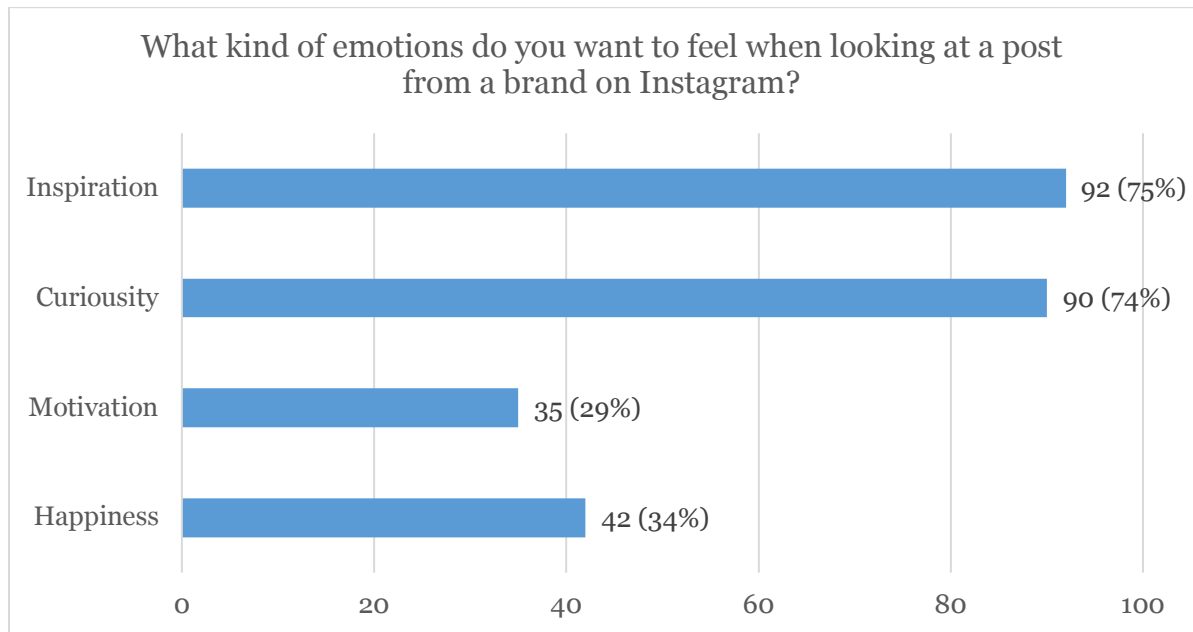


Figure 14 - Bar chart representing emotions respondents want to feel while interacting with brand's content (own elaboration based on questionnaire survey)

5.4.3 Engagement and Perception of Instagram Content

With the question, "In relation to Instagram, rank the following in order of your engagement preference on a scale from 1 to 5, where one is the lowest and five is the highest", the aim was to find the type of content, with the highest chance to be noticed by prospects. Content types were to be rated from 1 to 5, where one indicates that the respondent rarely engages with this content type and 5 indicates the highest engagement with the content.

According to the survey findings, Instagram reels have a higher potential for attracting the attention of potential customers as it was ranked 4th or 5th in terms of engagement total of 115 times. The survey participants also identified Stories content as being very engaging, with total 98 selections for engagement levels 4 or 5. Posts were mostly rated with 3 on an engagement scale, while Highlights ranked with 2 and Guides were identified as the type of content that attracts the least attention.

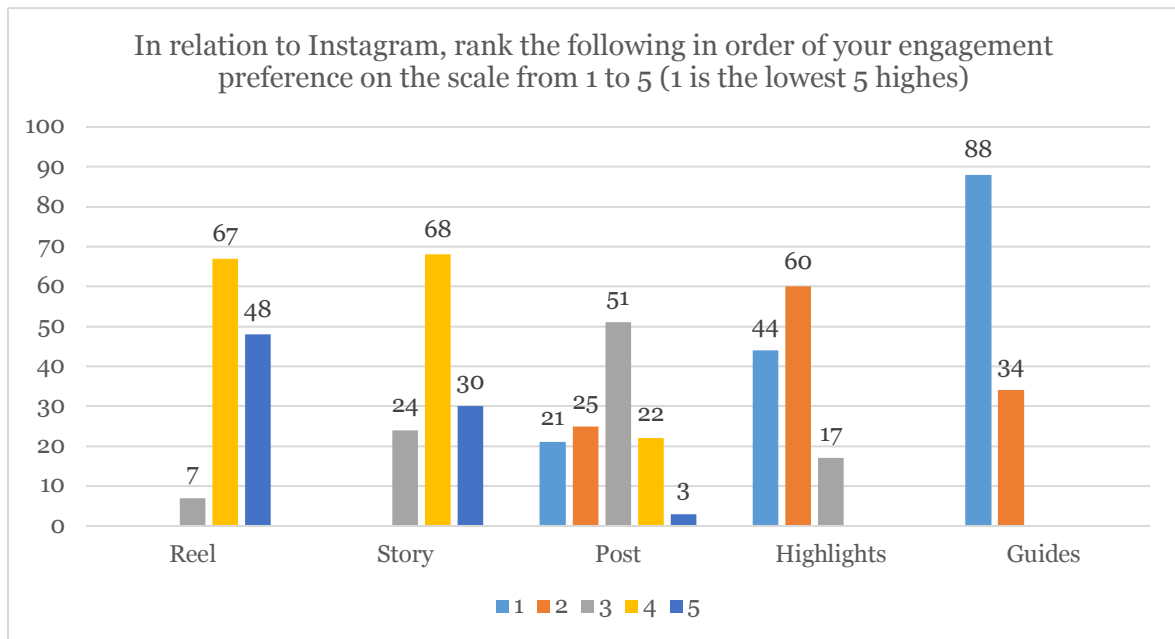


Figure 15 - Bar chart representing respondents' engagement preferences on Instagram (own elaboration based on questionnaire survey)

The following question aimed to discern what qualities define good Instagram content from the users' point of view. The results showed that 100% of the survey participants rated useful information as the most important aspect of good content. Additionally, 98% of participants considered relevancy as an essential factor. Creativity and eye-catching graphics received a similar rating, with 64% and 62% of respondents choosing these parameters respectively. In contrast, likes or comments were the least significant factors for defining good Instagram content, with only 24% of participants selecting them.

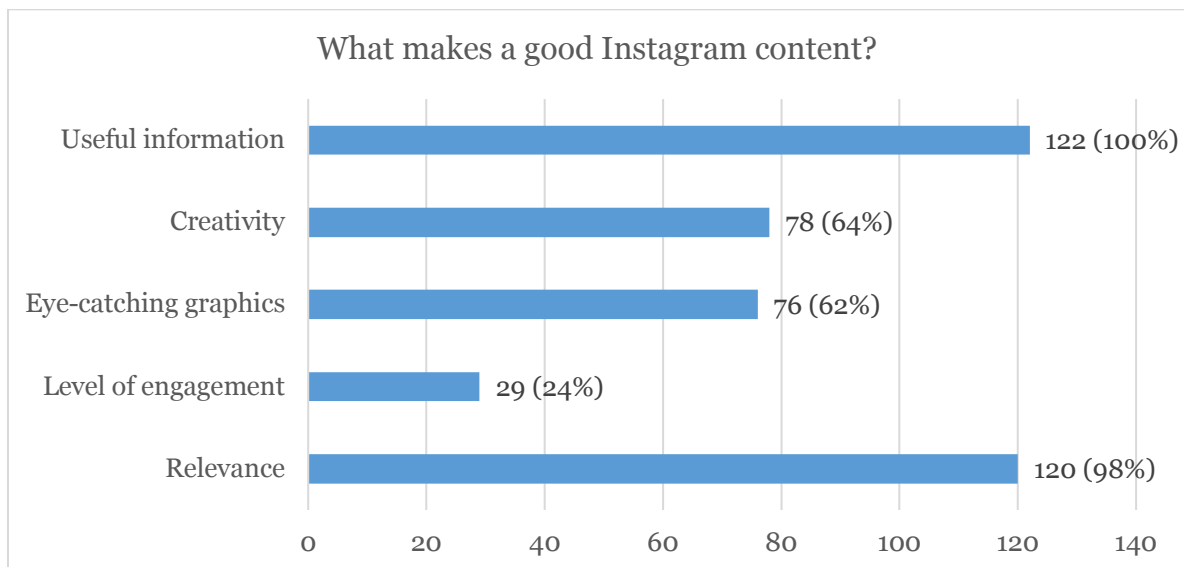


Figure 16 - Bar chart representing respondents' opinions on what makes good content on Instagram (own elaboration based on questionnaire survey)

5.4.4 Customer relationship management on Instagram

The aim of the next question was to determine the most common ways in which survey participants find products or services on Instagram. The results show that most participants, 84%, use the Explore page to find products or services. Looking for potential account names via search is also a popular method, with 79% of participants choosing it. Reels are also a significant way that products or services are found, with 78% of respondents selecting it. Suggested posts were chosen by 66% of participants, while Instagram Ads and posts marked as Sponsored were selected by 29%. Hashtags were the least popular option, chosen by only 22% of respondents.

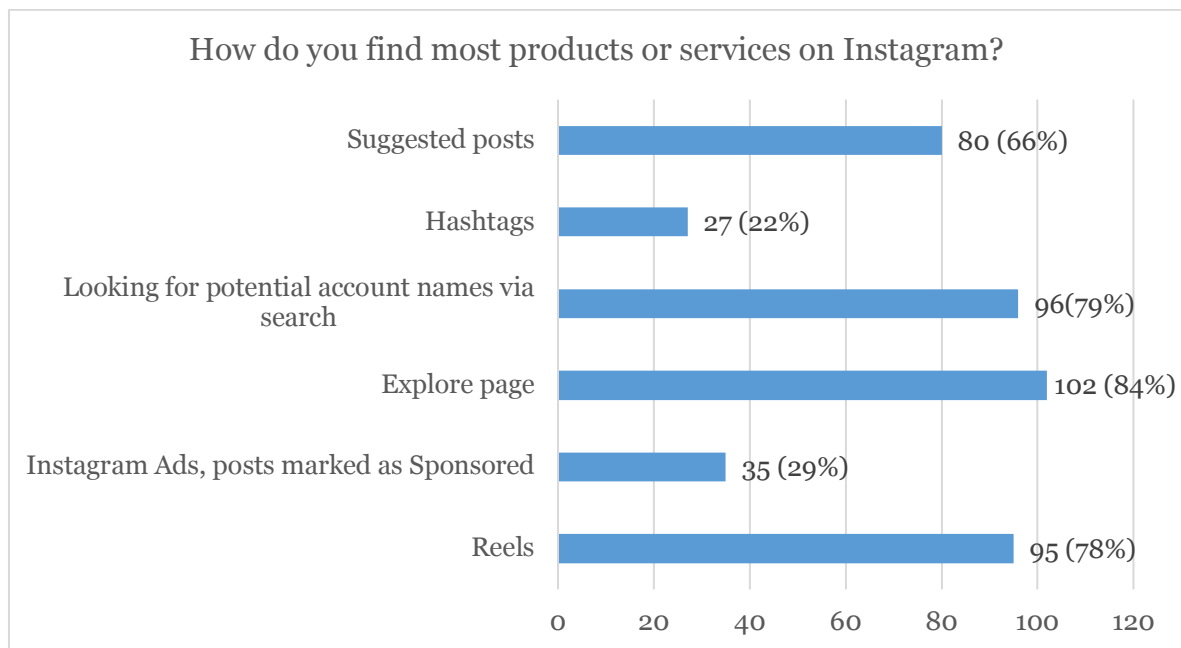


Figure 17 - Bar chart representing way respondents learning about new products on Instagram (own elaboration based on questionnaire survey)

The aim of the following question statement is to determine how much promotion of a new product by a favorite brand on Instagram affects the curiosity of the survey participants. The results show that 89% of the participants feel curious when they know their favorite brand is releasing a new product through its promotion on Instagram, while only 11% do not.

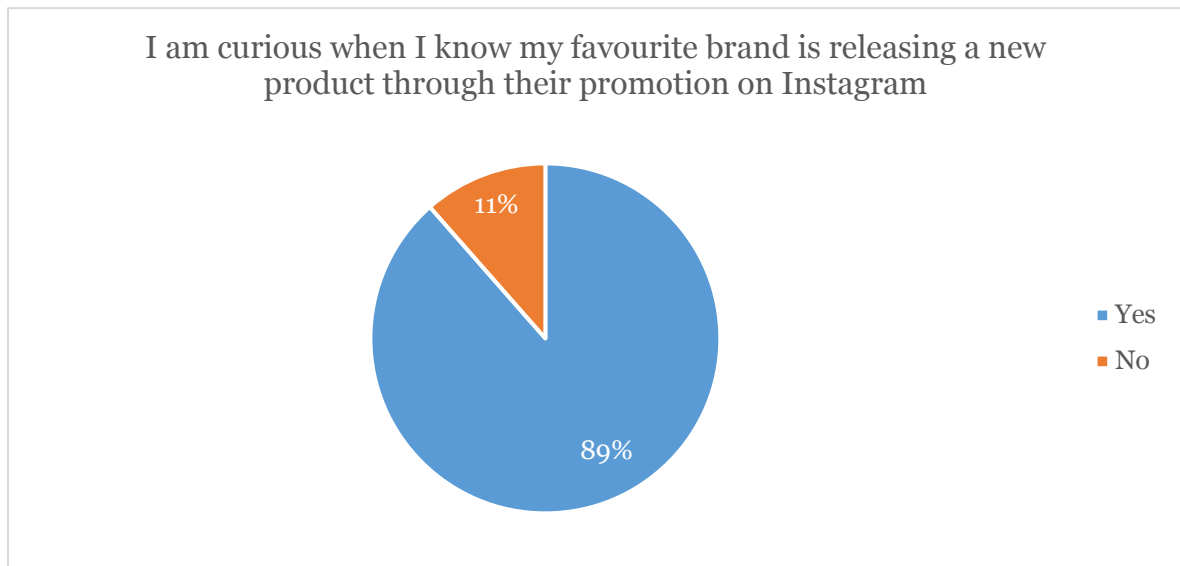


Figure 18 - Pie chart representing respondents' curiosity in brand's new product updates on Instagram (own elaboration based on questionnaire survey)

Regarding respondents' opinion on whether businesses or brands should use Instagram as a customer relationship management (CRM) tool to engage with customers and improve customer relationships, most respondents (90,2%), agreed that Instagram should be used as a CRM tool, while none of the respondents disagreed with this idea. However, a small percentage of respondents (9,8%), were not sure about their stance on this matter.

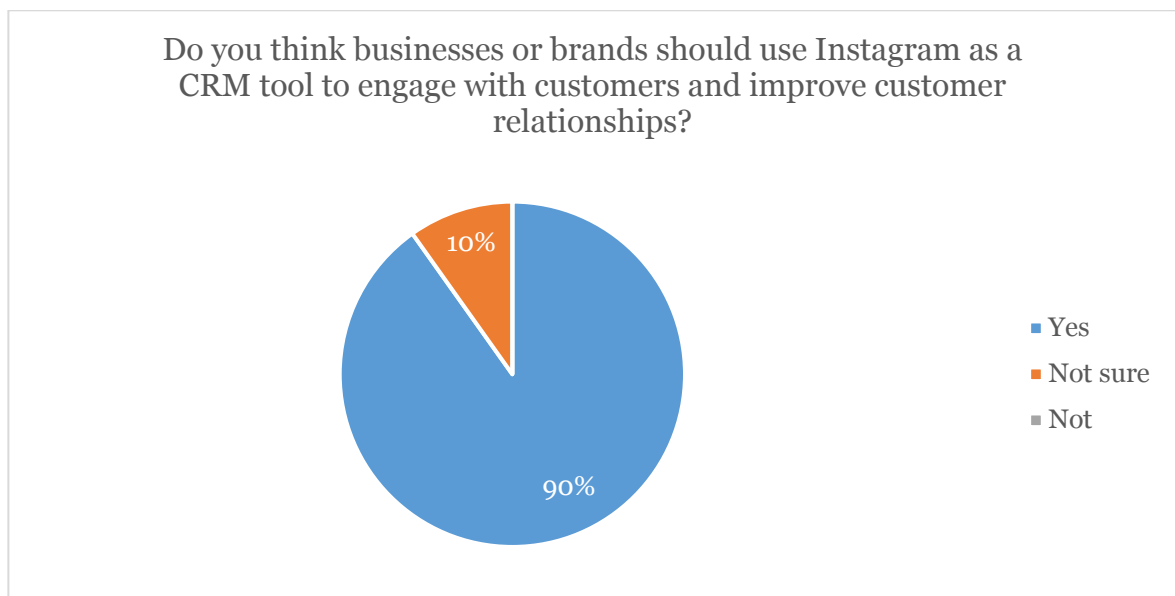


Figure 19 - Pie chart representing respondents' opinions on using Instagram for CRM purposes (own elaboration based on questionnaire survey)

Among 110 respondents, who answered positively, received the following question that gave more insights into what Instagram instruments businesses should use for CRM purposes. Communicating with followers in the comment was comments, with 93% of respondents suggesting its use. Stories and reels were suggested by 55% and 98% of respondents, respectively.

Leading conversations with prospects and customers in direct messages was the second most popular feature, with 71% of respondents suggesting its use. User-generated content was suggested by 76% of respondents, while influencer collaborations were suggested by 55%. Hashtags were suggested by 65% of respondents, while shoppable posts were suggested by 19% of respondents.

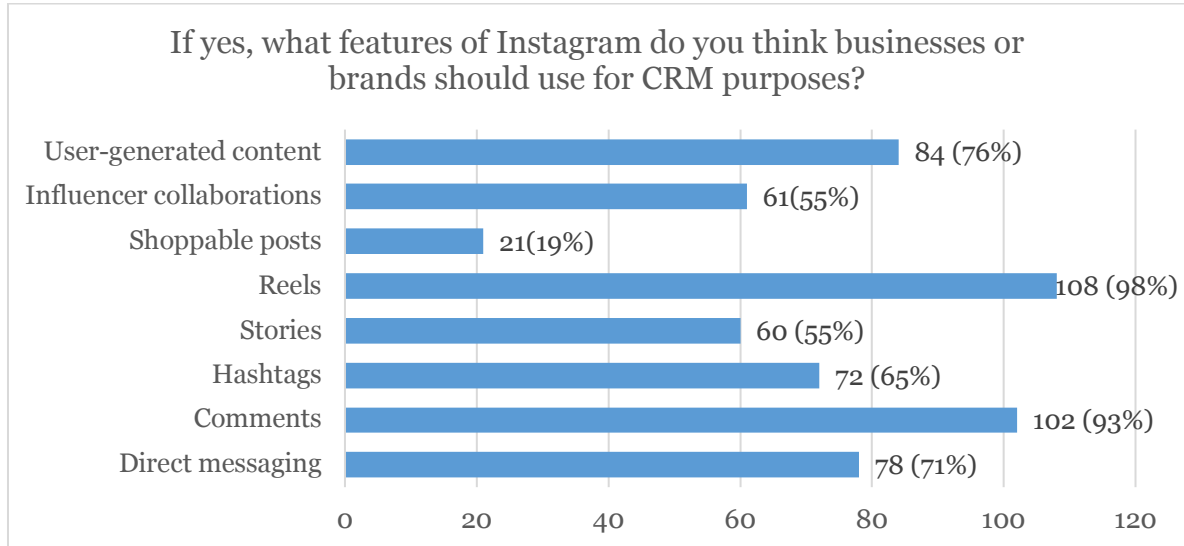


Figure 20 - Bar chart representing respondents' opinions on what Instagram features should be used for CRM purposes (own elaboration based on questionnaire survey)

5.4.5 Instagram posting frequency and content quality

The survey findings indicate that users believe brands should have an active presence on social media. Specifically, 46% of respondents want new content to be posted several times a week, while 47% preferred daily updates. Interestingly, only 7% of the respondents indicated that they don't want new content from brands more frequently than once a week.

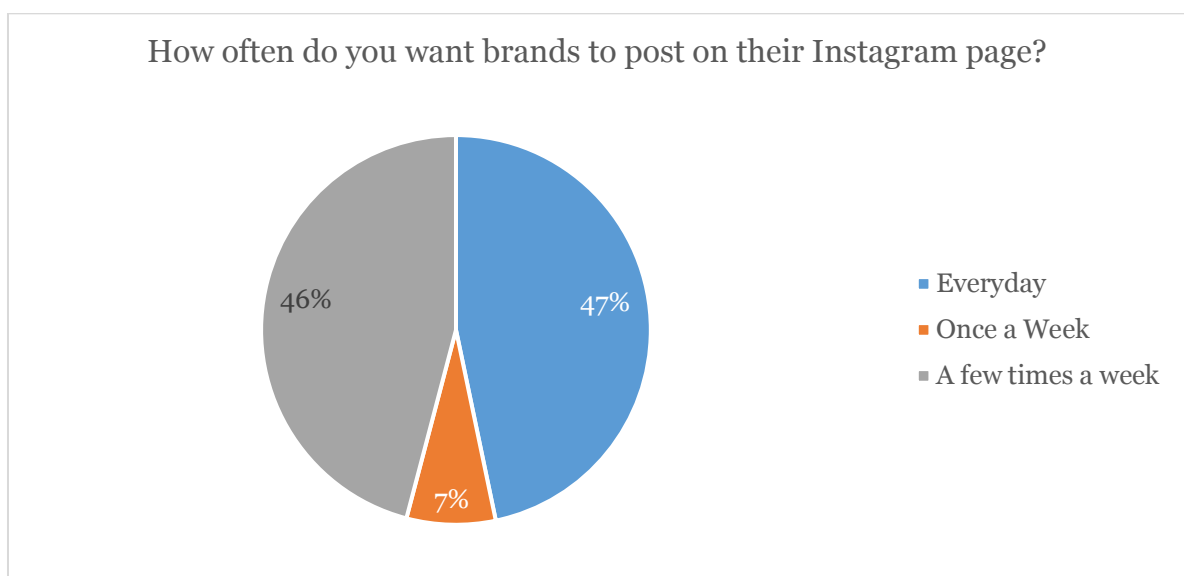


Figure 21 - Pie chart respondents' opinions on brands' Instagram posing frequency (own elaboration based on questionnaire survey)

The survey asked respondents about the importance of the quality of content posted by businesses or brands on Instagram in their decision to engage with them. The results showed that the vast majority, 93% of respondents, found the quality of content to be very important in their decision to engage with brands. Only 3% of respondents considered it to be somewhat important, and none of the respondents found it to be not important. There was a small percentage of respondents, 4%, who were not sure about the importance of content quality.

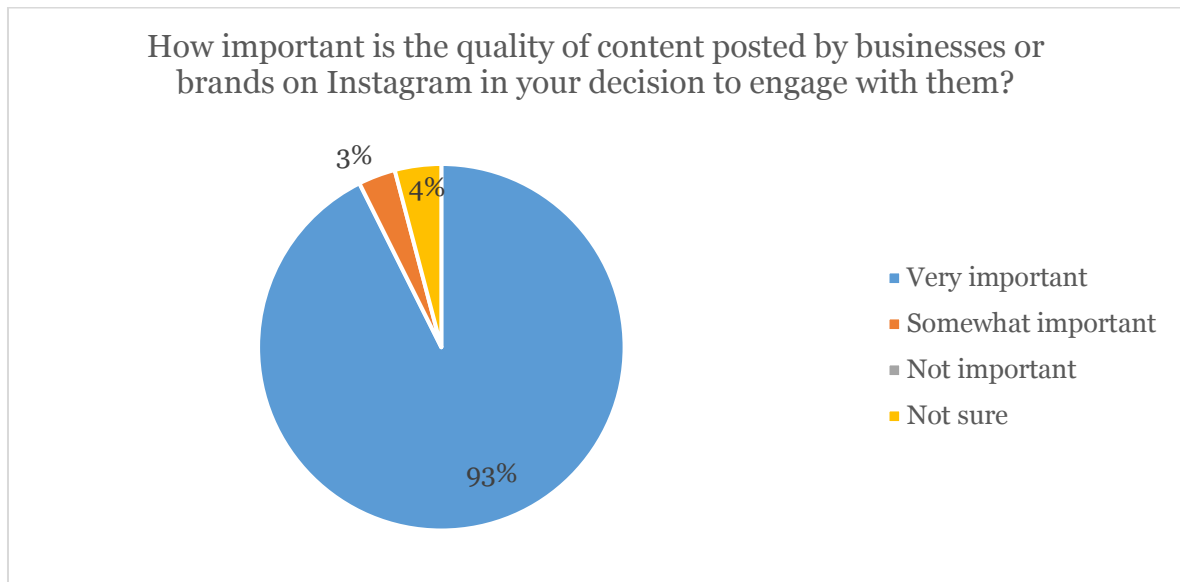


Figure 22 - Pie chart representing respondents' view on brand's content quality to engage with it (own elaboration based on questionnaire survey)

5.5 Results Evaluation

A total of 122 respondents took part in the survey; 78 were women, 34 were men, four were non-binary, and six people decided not to mention their gender. The most significant number of participants belong to the 18-24 age group.

The survey addresses how Instagram can help businesses build and maintain customer relationships. The study aimed to answer questions about Instagram usage and perceptions of business activities on Instagram. The results provide insights into making the most effective CRM strategies on the platform.

Evaluation of user results showed that Instagram is a highly frequented social media platform among the surveyed population, with the majority using it daily. Businesses should focus on maintaining an active presence to leverage this high usage frequency. Most users are experienced platform users, having used it for four years or more. Evaluation results on Instagram usage and users' preferences revealed that most users utilize Instagram primarily for consuming lifestyle and entertaining content. This is closely followed by travel, fashion, and food content. Aligning business content strategy on Instagram with these interests should attract and engage users.

The survey also showed that all the participants follow at least one brand on Instagram, and promotions and sales are the primary reason for 86% of participants following brands on Instagram. Engagement is vital to the brand-follower relationship, and appealing content is the most popular reason for engaging with brands. To effectively engage with individuals who already show an interest in following brands, it is essential for businesses to proactively establish their brand presence on Instagram. By emphasizing valuable offerings such as promotions, discounts, personalized content, and product exploration, businesses can attract and retain followers. Participants also expressed a desire to feel inspired and curious when viewing brand posts on Instagram. Businesses should aim to evoke these emotions through their Instagram content to make a lasting impression on users.

This result indicates a high level of conversion from Instagram users to customers, suggesting that Instagram is a powerful tool for businesses to reach and engage with potential customers. The survey results revealed that 86% of participants have ever bought any product or service from or because of Instagram. Most respondents took a few weeks to decide to purchase based on Instagram's influence. Furthermore, 61% of respondents said they were influenced to make a purchase after seeing a product or service on Instagram, followed by 56% influenced by influencer promotion. Businesses can leverage influencer marketing and ensure their products are showcased effectively on Instagram to drive conversions.

The results also indicate that the Explore page, searching for potential account names, and reels are the most effective ways to catch users' attention and lead them to discover new products or services on Instagram. In contrast, sponsored posts, Instagram Ads, and hashtags are less effective in catching users' attention.

Generally, the survey findings suggest that respondents positively view Instagram as a customer relationship management tool for businesses and brands. Most respondents agreed that Instagram should be used for this purpose, with none disagreeing. The insights into which Instagram features companies should use for CRM purposes are also valuable. According to the survey results, Instagram reels are a highly recommended instrument for businesses to integrate into their CRM approach, as 98% of respondents indicated their suggestions. The high percentage of respondents, 93%, who suggested communicating with followers in the comments as a helpful feature means that businesses should prioritize engaging with their followers in this way. Similarly, 76% of respondents suggested using user-generated content leading conversations, direct messages 71%, and hashtags 65% indicating that these features can also be valuable for businesses in improving customer relationships on Instagram.

The survey also indicates that users want brands to have an active presence on Instagram, with almost half of the respondents preferring daily updates. The importance of content quality was also highlighted, with most respondents considering it essential in their decision to engage with brands. Businesses should prioritize creating high-quality and visually appealing content to capture users' attention and encourage interaction.

As a conclusion, businesses should recognize Instagram's potential as a CRM instrument and align their strategies to leverage the platform's features and user preferences. By understanding the demographics, preferences, and behaviors of Instagram users,

businesses can tailor their approach to effectively engage with their target audience and drive business results.

5.6 Research Limitations

The survey conducted has several limitations. Firstly, the survey was conducted online using Google Forms, which might have restricted access to those who did not have access to the Internet or were not familiar with the platform. Secondly, the survey was conducted among Instagram users only, which limits the generalizability of the findings to the entire population. Moreover, the sample size of the survey was relatively small, with only 122 participants, and the demographic distribution was uneven, with the majority being women and younger people. This can cause a selection bias and limit the representativeness of the sample. Additionally, the survey relied on self-reported data, which may have led to social desirability bias and inaccurate responses. Finally, the survey was conducted over a limited period from 10 April 2022 to 30 April 2023, and the results might not be applicable in the future due to changes in user behavior or Instagram's policies.

Conclusions

The bachelor thesis focused on using Instagram for businesses as a supportive tool for customer relationship management. The Bachelor thesis aimed to discover if Instagram is a platform that can help companies to build and maintain relationships with their customers. The practical part of the study adopted a questionnaire survey method to achieve the objective.

In the theoretical part of the thesis, a definition of customer relationship management (CRM) and CRM systems was given. Subsequently, the second chapter compared social CRM to traditional CRM and discussed the importance of customer engagement and loyalty in Social CRM. The third chapter was devoted to social media and has a brief history. Besides that, it discusses different types of social media platforms and their benefits for businesses.

As already mentioned, the practical part was carried out by quantitative research as a questionnaire survey. It contained a total of 35 questions divided into six sections. The questionnaire was aimed at the target group with the condition to participate in the study by being an Instagram user. Therefore, the survey was distributed on Instagram social media.

Based on the survey results, Instagram can be considered a useful CRM tool for businesses. The majority of the participants have been using Instagram for more than four years, and they use it daily. All participants follow at least one brand on Instagram, with promotions and sales being the most popular reason for following a brand. Engagement is essential to the brand-follower relationship, and most participants interact with the brand's social content multiple times per week.

A significant portion of Instagram users have made purchases based on the platform, with the majority taking a few weeks to decide to make a purchase. Seeing a product or service on Instagram was the most influential factor that prompted users to purchase, followed by seeing an influencer using or recommending the product on Instagram. Therefore, businesses can use Instagram to engage with customers, provide them with relevant product information, and use promotions and sales to drive purchases.

Overall, the survey results suggest that Instagram can be an effective CRM tool for businesses. To succeed on the platform, companies should create high-quality, visually appealing content that resonates with their target audience, offer special promotions and discounts to their Instagram followers, and engage with their followers regularly.

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Appendices

Appendix A: A questionnaire survey

Greetings! This questionnaire pertains to a bachelor's thesis and aims to comprehend the impact of business activities on Instagram social media on customer behavior. The survey is entirely confidential, and we kindly request you to answer with utmost precision. Thank you!

1. Gender

- Male
- Female
- Non-binary
- don't want to say.

2. Age

- Under 18
- 18-24
- 25-34
- 35-44
- 45-54
- 55-65
- 65+

3. How long have you been using Instagram?

- Less than a year
- Less than 2 years
- Less than 3 years
- Less than 4 years
- 4 years or over

4. How often do you use Instagram?

- Everyday
- Weekly
- Every other day

5. What are your interests on Instagram?

- Fashion
- Food
- Lifestyle
- Travel
- Entertainment
- News

6. Do you follow any brands on Instagram?

- Yes
- No

7. If yes, think of your favorite brands on Instagram. Why do you follow these brands on Instagram?

- Personal relevance
- Motivation/Inspiration
- Discovering new products
- Promotion/ sales notice
- Loyalty
- Other:

8. If yes, how often do you engage with businesses or brands on Instagram (e.g., like, comment, share, save)?

- Frequently (multiple times per week)
- Occasionally (a few times per month)
- Rarely (less than once per month)
- Never

9. If yes, what made you want to follow them or engage with them?

- Appealing content
- Influencer promotion
- Positive
reviews/comments

10. Have you ever bought any product or service from/because of Instagram?

- Yes
- No

11. How long have you been following the page before the purchase?

- Soon after following the page
- Few weeks before making a purchase
- Few months before making a purchase
- I followed the page for over a year before making a purchase
- Other:

12. How did your Instagram activity influence your decision to make the purchase?

- I saw the product/service on Instagram and decided to purchase
- I read positive reviews/comments on Instagram and decided to purchase
- I saw an influencer using/recommending the product/service on Instagram and decided to purchase
- Other:

13. What are the primary factors that influence your purchasing decision on Instagram?

- Instagram ads
- Influencers
- Social trends
- Number of followers
- Reviews from family and friends
- Reviews from other customers
- Page engagement
- Quality of product information
- Other:

14. Have you ever purchased from a brand you don't follow on Instagram?

- Yes
- No

15. What types of products/brands are you most interested in on Instagram?

- Fashion/Apparel
- Beauty/Cosmetics
- Electronics
- Home goods
- Health/ Fitness
- Automotive
- Travel
- Sport/Outdoor
- Art/Crafts
- Education
- Other:

16. What kind of emotions do you want to feel when looking at a post from a brand on Instagram?

- Happiness
- Motivation
- Curiosity
- Inspiration
- Other:

17. In relation to Instagram, rank the following in order of your engagement preference on the scale from 1 to 5 (1 is the lowest 5 highest)

	1	2	3	4	5
Post	☐	☐	☐	☐	☐
Reel	☐	☐	☐	☐	☐
Story	☐	☐	☐	☐	☐
Highlights	☐	☐	☐	☐	☐
Guides	☐	☐	☐	☐	☐

18. What makes a good Instagram content?

- Relevance
- Level of engagement
- Eye-catching graphics
- Creativity
- Useful information
- Other:

19. Have you ever discovered a new business or brand through Instagram?

- Yes
- No

20. How do you find most products or services on Instagram?

- Reels
- Instagram Ads, posts marked as Sponsored
- Suggested posts
- Explore page
- Looking for potential account names via search
- Hashtags
- Other:

21. Instagram advertising has influenced me to try new products

- Yes
- No

22. I actively search for products and service information on a brand page on Instagram

- Yes
- No

23. I am curious when I know my favorite brand is releasing a new product through their promotion on Instagram

- Yes
- No

24. I trust a company more when it has a lot of interactions with its Instagram followers

- Yes
- No

25. When I shop online, I feel happy when I am served by a friendly and responsible administrator

- Yes
- No

26. Have you ever reached out to a business or brand through Instagram direct messaging for customer support or inquiries?

- Yes
- No

27. If yes, were your concerns addressed in a satisfactory manner?

- Yes
- No
- Not sure

28. Do you think businesses or brands should use Instagram as a CRM tool to engage with customers and improve customer relationships?

- Yes
- No
- Not sure

29. If yes, what features of Instagram do you think businesses or brands should use for CRM purposes?

- Direct messaging
- Comments
- Hashtags
- Stories
- Reels
- Shoppable posts
- Influencer collaborations
- User-generated content
- Other:

30. How often do you want brands to post on their Instagram page?

- Everyday
- Once a Week
- A few times a week
- Other:

31. How important is the quality of content posted by businesses or brands on Instagram in your decision to engage with them?

- Very important
- Somewhat important
- Not important
- Not sure

32. Which types of content posted by businesses or brands on Instagram are most likely to catch your attention?

- Photos
- User-generated content (e.g., reposts from customers)
- Stories
- Reels (Videos)
- Other:

33. How do you feel about businesses or brands that use humor or memes in their Instagram content?

- I appreciate it and am more likely to engage with them
- I find it unprofessional and am less likely to engage with them
- I don't care either way
- Not sure

34. How do you feel about businesses or brands that collaborate with influencers on Instagram?

- I appreciate it and am more likely to engage with them
- I don't care either way
- I find it unprofessional and am less likely to engage with them
- Other

35. How important is a business or brand's visual branding (e.g., color scheme, aesthetic) on Instagram in your decision to engage with them?

- Very important
- Somewhat important
- Not important
- Not sure